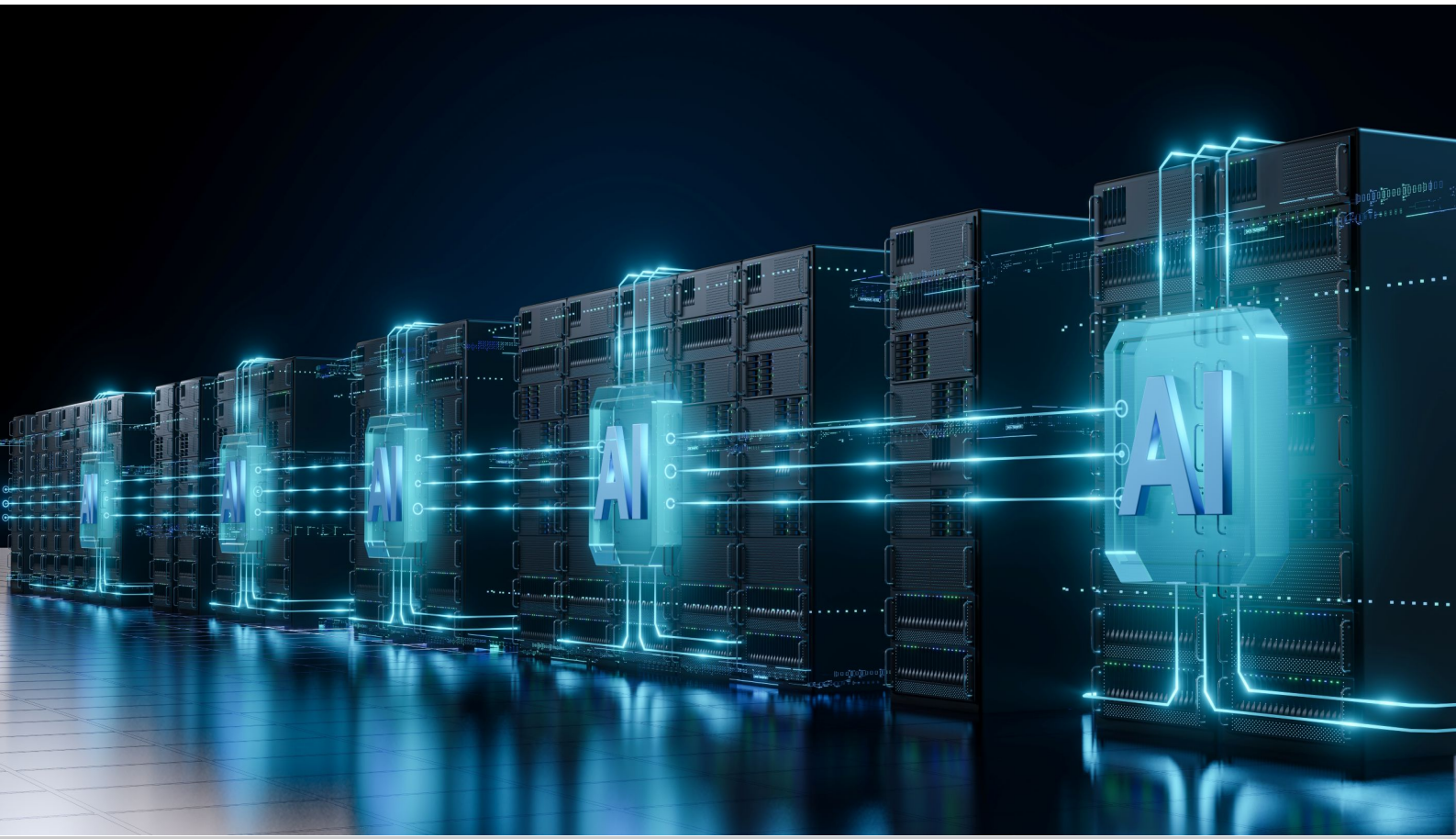
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ANCHOR REPORT

Global Markets Research

14 October 2026



Korea AIDC: From capacity to cash earnings

Demand and capital discipline define winners

Korea's AIDC expansion is accelerating, but announced capacity offers an incomplete guide to shareholder returns. In this report, we assess who will use the infrastructure, how operators monetize demand and who bears the investment risks. Our differentiated approach shifts the focus from headline GW ambitions to contracted utilization, financial obligations and earnings attributable to listed shareholders.

- **Demand visibility over expansion scale:** Captive and public-sector workloads provide an initial base; larger ambitions increasingly require external cloud and AI customers backed by binding commitments.
- **Business models determine financial exposure:** Colocation, GPUaaS and DBO differ in equipment ownership, recurring income and replacement requirements. Partner funding does not necessarily remove contractual risk.
- **Selective stock positioning:** Samsung SDS is our top pick for captive access and financial flexibility. We upgrade KT to Buy on attractive valuation and diversified monetization, while maintaining Neutral on Naver and SKT pending clearer earnings conversion.

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

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Korea AIDC

Global Markets Research
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EQUITY: INTERNET & NEW MEDIA

Demand and capital discipline define winners

Prefer Samsung SDS and KT Corp

Research Analysts

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Action: Initiate on Samsung SDS as our top pick; upgrade KT Corp to Buy

We are selectively positive on Korean AIDC, favouring identifiable demand and credible earnings conversion. Samsung SDS (018260 KS, Buy) is our top pick, supported by captive demand, integrated enterprise services and financial flexibility. We upgrade KT (030200 KS) to Buy as its current valuation at 8x 2027F EPS, appears attractive ahead of an expected earnings recovery in 2027F, with AIDC providing additional growth potential. We maintain Neutral on Naver (035420 KS) and SKT (017670 KS), pending greater visibility on external contracts and investment returns. Key risks include slower utilization, pricing pressure, commissioning delays and higher financial exposure.

Demand: Domestic workloads anchor adoption; external customers enable scale

Captive industrial workloads and public-sector projects provide an initial domestic demand base. Enterprise AI and inference broaden usage, while robotics and ADAS add training, simulation and fleet-data workloads. Hyperscalers and AI developers offer the largest potential for incremental capacity absorption, making external contracts central to larger expansion ambitions, in our view. Overseas sovereign AI can generate revenue without filling Korean facilities; GPU procurement alone does not establish paying demand.

Competition: Customer access and ownership shape earnings visibility

Colocation monetizes customer-owned equipment, GPUaaS captures computing revenue with greater equipment exposure, and DBO generates construction and operating fees without owning every facility. Samsung SDS's captive access and KT's colocation, cloud, connectivity and DBO mix provide identifiable commercialization routes. Naver's AI Factory and SKT's group-supported development offer growth potential but depend more on converting external demand. LG CNS (064400 KS, Not rated) adds competition in DBO and enterprise services. Headline MW requires reconciliation by ownership and development stage.

Funding: Partner capital supports expansion; obligations remain central

Investment budgets vary in scope, limiting simple cost-per-MW comparisons. Samsung SDS's liquidity supports phased investment, while KT's service mix can moderate ownership requirements. Naver and SKT have strengthened partner capital access, but subsequent phases require further funding and customer coverage. External ownership can leave operators with leases, guarantees and service commitments. We favour structures that align deployment with contracted demand and preserve capacity for equipment replacement and shareholder returns.

Economics: Utilization and cash generation determine shareholder returns

Average billable capacity and realized pricing matter more to earnings than year-end capacity targets. Depreciation and operating costs can precede a full ramp, while financing and infrastructure payments reduce shareholder returns. CoreWeave (CRWV US, Not rated) and Nebius (NBIS US, Not rated) demonstrate why high adjusted EBITDA margins should not be equated with operating profit or cash flow after investment. Binding contracts, customer acceptance and sustainable cash generation are the milestones we monitor.

Fig. 1: Korea AIDC — Stocks for action

Company	Ticker	Rating	Mkt cap (USD mn)	Avg. TO (USD mn)	Target price (KRW)	Closing price (KRW, Oct-12)	Upside (%)	Trading P/E (x) 2026F	2027F
Samsung SDS	018260 KS	Buy*	11,342	36	250,000*	195,400	28%	23	18
KT Corp	030200 KS	Buy (↑)	9,433	11	63,000 (↑)	49,900	26%	8	8
Naver	035420 KS	Neutral (-)	21,250	137	200,000 (↓)	180,500	11%	17	15
SK Telecom	017670 KS	Neutral (-)	12,841	82	87,000 (↓)	79,700	9%	14	13

Note: * Initiation of coverage on Samsung SDS (018260 KS), Priced as of 12 Oct 2026; Source: Nomura estimates

See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Executive summary

Fig. 2: Global AIDC operators — peer valuation

Company	Ticker	Market Cap (USD mn)	Rating	Local Price 12-Oct	P/E (x)		EPS growth (%)		OPM (%)		NPM (%)		EV/EBITDA		P/B (x)		ROE	
					FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F
Samsung SDS	018260 KS	11,324	Buy	196,800	23	18	(11)	24	6	7	5	5	16	13	1.5	1.4	7	8
KT Corp	030200 KS	9,433	Buy	49,900	8	8	(14)	7	8	8	5	6	4	4	0.7	0.6	8	8
Naver	035420 KS	21,250	Neutral	180,500	17	15	(12)	12	15	15	13	13	8	7	1.0	0.9	6	7
SK Telecom	017670 KS	12,841	Neutral	79,700	14	13	207	7	11	10	7	7	5	5	1.2	1.2	9	10
Hyundai Autoever	307950 KS	6,934	Not rated	340,000	43	36	10	22	6	6	4	5	18	16	4.6	4.2	11	12
LG CNS	064400 KS	4,633	Not rated	64,300	13	12	12	13	9	9	7	7	7	6	1.9	1.7	15	15
Korea average					**20**	**17**	**32**	**14**	**9**	**9**	**7**	**7**	**10**	**8**	**1.8**	**1.7**	**9**	**10**
NTT	9432 JP	98,971	Buy	173	14	12	(0)	15	11	12	7	7	8	8	1.4	1.3	10	11
SoftBank Corp	9434 JP	73,509	Buy	242	19	18	15	2	17	17	8	8	9	8	4.1	3.8	21	20
KDDI	9433 JP	73,289	Buy	2,893	15	14	7	8	19	20	12	12	8	7	2.1	2.0	14	15
Fujitsu	6702 JP	46,742	Buy	4,250	23	20	(28)	14	12	13	9	9	15	13	3.5	3.2	15	16
Sakura Internet	3778 JP	1,000	Buy	3,775	78	61	792	28	7	8	4	5	12	9	4.7	4.4	6	7
Japan average					**30**	**25**	**157**	**14**	**13**	**14**	**8**	**8**	**10**	**9**	**3.1**	**2.9**	**13**	**14**
Tencent	700 HK	492,822	Buy	426	13	12	1	8	31	30	32	31	12	11	2.4	2.1	18	16
Alibaba	BABA US	275,592	Buy	111	17	12	(10)	58	8	12	9	11	8	6	1.5	1.3	9	12
China Telecom	728 HK	54,397	Neutral	5	12	11	(4)	5	7	8	6	6	2	2	0.8	0.8	7	7
GDS Holdings	GDS US	5,812	Buy	30	na	na	na	na	13	2	(1)	(7)	13	15	1.5	1.5	(0)	(3)
China average					**14**	**12**	**(4)**	**24**	**15**	**13**	**12**	**11**	**9**	**8**	**1.6**	**1.4**	**8**	**8**
Tata Consultancy Services	TCS IN	80,289	Buy	2,125	14	13	12	8	24	25	19	20	10	9	6.4	6.9	49	51
HCL Tech	HCLT IN	34,557	Buy	1,223	16	15	25	8	18	18	14	15	11	10	4.1	4.0	27	27
India average					**15**	**14**	**18**	**8**	**21**	**22**	**17**	**17**	**10**	**9**	**5.3**	**5.4**	**38**	**39**
Equinix	EQIX US	101,888	Not rated	1,033	60	53	17	12	23	24	17	17	23	21	7.1	7.0	13	14
Nebius	NBIS US	60,425	Not rated	210	na	na	na	na	(27)	(4)	(21)	(7)	44	9	5.6	6.0	(4)	(4)
Digital Realty	DLR US	67,873	Not rated	180	57	57	(15)	1	18	18	15	13	22	20	2.5	2.6	4	3
Coreweave	CRWV US	44,855	Not rated	80	na	na	na	na	8	15	(17)	(4)	10	4	9.7	9.0	(40)	(21)
IREN	IREN US	13,713	Not rated	35	na	na	na	na	(94)	(15)	(23)	(25)	57	9	4.2	4.7	(5)	(35)
Applied Digital	APLD US	7,031	Not rated	23	na	na	na	na	(40)	2	(37)	(33)	124	31	3.2	2.4	3	(19)
US average					**58**	**55**	**1**	**6**	**(19)**	**7**	**(11)**	**(7)**	**47**	**16**	**5.4**	**5.3**	**(5)**	**(10)**
Average					**27**	**25**	**41**	**13**	**8**	**13**	**6**	**7**	**17**	**10**	**3.4**	**3.4**	**13**	**12**

Note: Bloomberg consensus for not rated companies.
Source: Company data, Nomura estimates, Bloomberg Finance L.P.

Stock recommendations: Samsung SDS is our top pick; upgrade KT to Buy

We are selectively positive on Korean AIDC operators, favouring identifiable demand, established operating capabilities and financial flexibility. Customer contracts, asset ownership and attributable returns matter more than headline capacity. We initiate on Samsung SDS at Buy as our sector top pick, upgrade KT to Buy, and maintain Neutral on Naver and SKT.

- **Samsung SDS (018260 KS, Buy) — Captive demand and financial flexibility:** Samsung Group relationships provide access to industrial demand, while cloud, GPUaaS and public-sector projects broaden monetization. Liquidity supports phased deployment, while DBO (design, build, operate) adds construction and recurring operating income without ownership of every facility. We expect these advantages to support demand visibility and a valuation premium.
- **KT (030200 KS, Buy) — Attractive valuation and diversified monetization:** We view its current valuation (8x 2027F EPS) as attractive, as we expect its earnings to recover in 2027F. Higher bond yields weaken its dividend appeal, increasing the importance of earnings growth and cash generation. KT combines established data centre operations, enterprise relationships and domestic and subsea connectivity with colocation, managed cloud and DBO. Customer-owned GPU hosting and third-party projects can moderate equipment ownership requirements for those activities.
- **Naver (035420 KS, Neutral) and SKT (017670 KS, Neutral) — Funding progress improves development prospects, while earnings conversion remains the hurdle:** We maintain Neutral on both. Naver's AI factory offers growth potential across computing, models and services, but customer pricing and utilization must cover recurring infrastructure commitments; core-business earnings also remain important to valuation. SKT benefits from hyperscaler partnerships and SK Group's (unlisted) infrastructure capabilities, while partner equity strengthens its development platform. Its larger ambitions require project-level customer commitments, funding and delivery; group-wide benefits must translate into SKT shareholder returns. Binding contracts and profitable commissioning could improve our assessment.

Demand: Domestic workloads provide base; external customers enable expansion

Enterprise and captive industrial workloads anchor domestic demand, supported by public-sector programmes. Adoption across coding, customer service, research and manufacturing should broaden usage, but trials must become production deployments and paid services. GPU procurement and public investment demonstrate intent, rather than utilization across the AIDC pipeline.

Hyperscalers and AI developers offer the largest potential for incremental capacity absorption, in our view. Larger expansion ambitions increasingly depend on securing these external customers, who assess power availability, delivery timing, pricing, cluster performance and connectivity. Robotics and ADAS add training, simulation and fleet-data workloads, while AI search, assistants and agents support recurring inference. Overseas sovereign AI projects can generate revenue for Korean operators without necessarily filing domestic facilities.

Business models and competition: Customer access and ownership shape earnings visibility

Operators pursue different routes to monetization. Colocation earns hosting and related service revenue from customer-owned equipment; GPUaaS captures computing revenue with greater equipment exposure; DBO generates construction and operating fees without requiring ownership of every facility. Managed cloud and AI integration broaden services without proportional growth in owned capacity. Announced MW (megawatt) therefore requires reconciliation by ownership, service scope and development stage.

Samsung SDS's captive access and KT's infrastructure and connectivity mix provide relatively identifiable commercialization routes. Naver emphasizes integrated AI computing and services, while SKT combines global partnerships with group-supported development. LG CNS is an important competitor in DBO and enterprise integration. CoreWeave and Nebius benchmark GPU cloud commercialization, but their valuations and margins do not transfer directly to diversified Korean operators.

Funding: Capital access improves; retained obligations determine financial risk

Funding includes cash generation, partner equity, convertible bonds, project debt and customer prepayments. Samsung SDS's financial resources support deployment flexibility, while KT's service mix can moderate ownership requirements. Naver and SKT have strengthened access to partner capital, although larger phases require further evidence of funding and customer coverage. Budgets differ in GPU, facility, opex and minority-investment scope, limiting cost-per-MW comparisons.

External ownership does not automatically remove financial exposure. Operators may retain leases, service payments, guarantees or completion commitments, while initial customer contracts can expire before financing obligations. We favour funding structures that match phased deployment to customer commitments and leave capacity for replacement investment and shareholder distributions. Retained capital and contractual exposure must earn attractive returns.

Economics and execution: Billable utilization and cash earnings determine returns

Revenue growth depends on service scope, average billable utilization and realized pricing. Commissioned capacity can remain underutilized, while depreciation and operating costs precede a full customer ramp. Minimum payments improve visibility, but delivery acceptance, renewals and equipment competitiveness determine its durability.

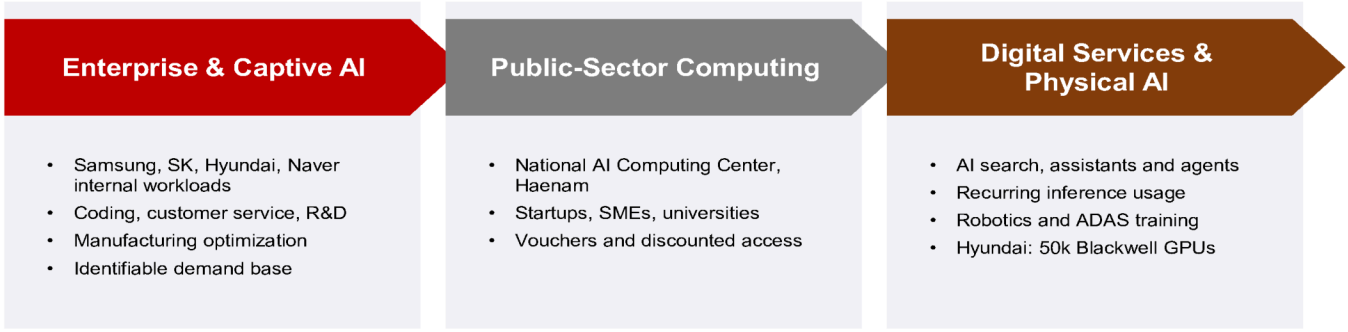
High EBITDA margins alone do not establish shareholder returns. GPU depreciation, financing costs and infrastructure payments can materially reduce earnings, while growth investment absorbs cash. Global neocloud comparisons therefore require consistent definitions of adjusted versus reported profit. We assess execution through binding contracts, timely commissioning, cash generation and attributable earnings. These measures support our preference for Samsung SDS and KT over expansion scale alone.

Demand: Who will use Korea's AI infra?

We expect Korea's AIDC demand to develop across enterprise AI, public-sector computing, digital services and Physical AI. Captive industrial workloads provide a more identifiable domestic demand base, while we believe hyperscalers and AI developers offer the largest potential for incremental capacity absorption. For operators, the key question is how these workloads translate into contracted capacity and recurring revenue.

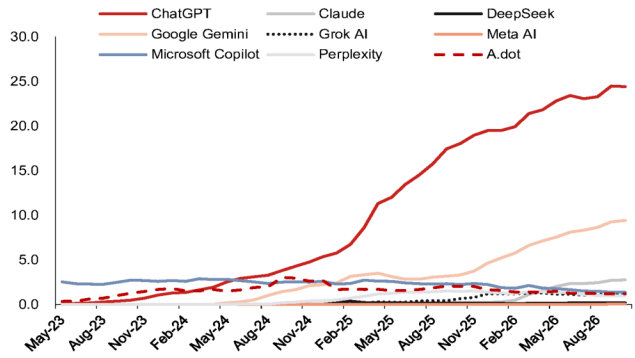
Korea's industrial base provides identifiable compute requirements. In October 2025, NVIDIA (NVDA US, Not rated) announced plans for 260k+ GPUs across government infrastructure and projects involving Samsung Electronics (005930 KS, Buy), SK Group, Hyundai Motor Group and Naver Cloud (unlisted). We view these plans as evidence of investment intent, rather than proof of utilization across the broader AIDC pipeline. GPU procurement, commissioning and customer payments can occur at different stages.

Fig. 3: Sources of AIDC demand



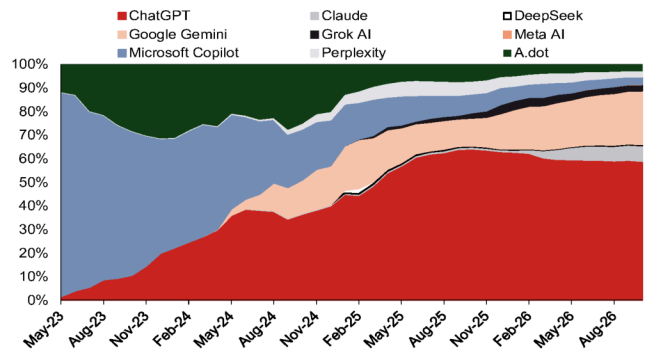
Source: Company data, Nomura research

Fig. 4: Mobile app MAUs for major AI assistants in Korea



Source: Sensor Tower, Nomura research

Fig. 5: Mobile app MAU share for major AI assistants in Korea



Source: Sensor Tower, Nomura research

Fig. 6: Commercialization performance of Korean AI companies

Company	AI product	AI business model	Commercialization performance
NAVER	HyperCLOVA X	API; Enterprise projects	AI Tab MAU reached 10mn as of 2Q26; AI Briefing has 30mn+ MAU (Jul-26); AI Briefing ads carry ~30% higher CPC, >30% higher CTR and >3x purchase conversion vs. standard search ads; AI contributed >60% of ad revenue growth, according to 2Q26 results/earnings call
	AI Tab / AI Briefing (search)	Free (ad-supported)	
Kakao	ChatGPT for Kakao	Free (in KakaoTalk)	ChatGPT for Kakao: 13mn+ cumulative sign-ups, 6+ messages sent per user per day, ~8 min average daily time spent, retention approaching 80% (from 70% at launch), as of 2Q26; targets 10mn AI MAU inside KakaoTalk by end-2026
	Kanana (models; Kanana in KakaoTalk)	Free; open-weight	
LG AI Research	EXAONE / K-EXAONE	Open-weight; Enterprise solutions	ChatEXAONE 23k+ MAUs as of Sep 2026; EXAONE 4.2 achieved 8.8mn cumulative Hugging Face downloads and 300+ derivative models as of Dec 25
	ChatEXAONE	Enterprise (in-house)	
SK Telecom	A.X (models)	Open-weight; Enterprise	A.dot agent has 10mn user touch points; A.dot app MAU of 1.2mn in Sep-26
	A. (A-dot) agent	Free	
KT	Mi:dm (models)	Enterprise projects	KT Innovation Hub: ~200 companies visited, ~30 progressed to actual AX projects or operation; AICC supplied to ~400 large enterprise clients (incl. Samsung Electronics) plus ~60 public-sector subscribers
	Microsoft partnership (Azure OpenAI, M365 Copilot)	Resale; Enterprise projects	
Upstage	Solar (models)	API; Enterprise projects	FY25 revenue KRW24.8bn; 200+ enterprise customers and 1H26 new contract value already above FY25 total, according to the CEO (as of Jun 26)
	Document Parse / Document AI	API; Enterprise projects	

Source: Company data, Instinet research

Enterprise and public-sector demand provide an initial base

- **Enterprise and captive workloads can anchor utilization:** Applications include coding, customer service, research and manufacturing optimization. Sustained demand will depend on trials becoming production deployments. Enterprise relationships can facilitate adoption, but an affiliate's compute investment does not automatically generate revenue for its listed infrastructure provider. Workload allocation, equipment ownership and service contracts determine revenue potential.
- **Public investment broadens access:** The National AI Computing Center in Haenam targets completion in 2028E, with KRW2.5tn of investment and ~15k AI chips. Planned users include startups, SMEs, universities and research institutions, supported by vouchers and discounted access. We expect this to stimulate AI development, while distinguishing subsidized usage from commercial demand in our earnings assessment. Budget allocation and infrastructure procurement offer evidence of implementation, but end-user uptake and payment arrangements remain important for commercialization.

Physical AI and inference broaden workloads

- **Robotics and ADAS add industrial demand:** Physical AI requires training, synthetic-data generation, simulation and validation. NVIDIA's architecture separates training and simulation from on-robot inference. We therefore expect data center demand to concentrate on development, fleet-data processing and model improvement. Real-time vehicle and robot control generally uses onboard computing; deployment volumes alone cannot establish AIDC requirements.
  Hyundai Motor Group's announced AI factory using 50k NVIDIA Blackwell GPUs for ADAS, robotics and manufacturing illustrates this opportunity. Third-party operators' revenue will depend on whether customers build their own clusters, host customer-owned equipment or purchase managed computing.
- **Inference can support recurring usage**: AI search, enterprise assistants and agents should create ongoing computing requirements as adoption expands. However, model size, task complexity, hardware efficiency and cloud-versus-device processing affect consumption. We expect recurring inference usage to diversify workloads beyond large training projects, although demand may vary by application.

International customers broaden the opportunity; contracts determine visibility

We see a credible domestic workload base, but do not assume it will absorb every expansion target. International demand has three routes: 1) global cloud providers serving Korean users; 2) overseas customers buying Korea-hosted compute, and; 3) Korean operators developing infrastructure abroad. These create different revenue and utilization outcomes.

SK Group's announced 15-year partnership with AWS (unlisted) in Ulsan targets organizations in Korea, with operations expected from 2027E. Naver's announced 200MW GAK Sejong expansion targets Korea- and US-based AI innovators. These arrangements differ in scope and should not be treated as equivalent evidence of fully contracted utilization, in our view.

Overseas sovereign AI is distinct: Naver's global strategy includes Asia-Pacific, Europe and the Middle East. We believe customers seeking local control may favour infrastructure within their own jurisdictions. Such projects can generate overseas revenue without filling domestic facilities.

Captive and public programmes provide an initial domestic base, while larger expansion ambitions increasingly depend on securing external cloud and AI customers. We expect these customers to assess power availability, delivery timing, pricing, cluster performance and connectivity. We favour operators combining identifiable workloads with binding commitments and phased deployment, as paying demand ultimately determines earnings visibility.

Business models and competition

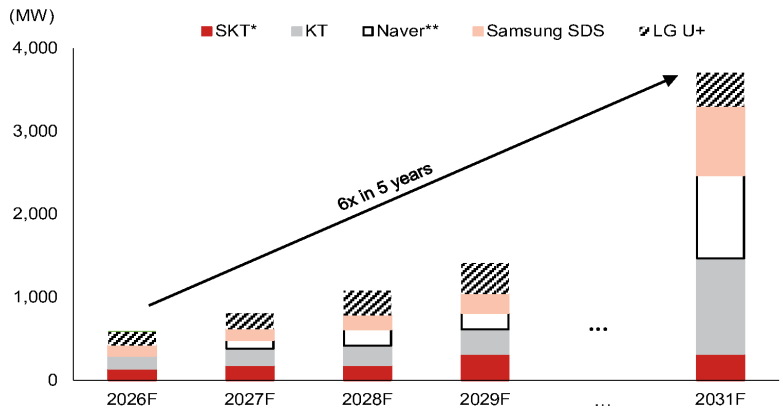
Customer access and operating capabilities differentiate operators

Korean AIDC operators compete through different combinations of customer access, infrastructure and service capabilities. Captive relationships can anchor workloads, enterprise channels support external adoption, and connectivity and operating expertise help attract larger customers. We therefore assess competitive advantages by their ability to secure paying demand, operating capability and financial exposure, rather than announced MW alone.

Business models determine how these advantages translate into earnings. Colocation monetizes facilities supporting customer-owned equipment; GPUaaS captures computing revenue with greater equipment exposure; and DBO generates construction and operating fees without requiring ownership of every facility. Managed cloud and AI services broaden monetization through customer integration. Across these models, contract terms, utilization and execution matter more than headline capacity.

We favour operators that connect customer access with reliable delivery and a clear route to recurring income. Samsung SDS's captive access and KT's broader infrastructure/service mix offer identifiable routes; Naver and SKT provide larger platform and development opportunities with greater dependence on converting external demand. These differences play a key role in our earnings assessment.

Fig. 7: Korean AIDC operators' capacity to grow 6x until 2031F



Note: * SKT to ramp-up to 5GW starting 2029.
** Naver's long-term capacity goal shown in 2031F, for visualization purposes
Source: Company data, Nomura estimates

Fig. 8: AIDC — business model comparison

	Colocation	GPUaaS	DBO (Design, Build, Operate)
Facility ownership	Operator owns or leases the facility	Provider owns or leases facilities, or purchases hosting from another operator	Typically the customer or project vehicle
GPU ownership	Typically customer-owned	Provider-owned, leased or otherwise procured under contract	Typically customer/project-owned
Revenue sources	Hosting charges, power charges and connectivity/service fees	Reserved-capacity subscriptions or usage-based computing fees	Design/construction revenue and recurring operating fees
Capital requirements	Substantial facility investment; comparatively limited GPU investment	Substantial GPU investment or financing commitments, plus facility/hosting requirements	Generally lower fixed-asset ownership; working capital, procurement commitments and possible project equity
Earnings visibility	Supported by contracted occupancy, minimum payments and customer credit	Depends on contracted compute, pricing, billable utilization and customer credit	Construction visibility from orders and milestones; recurring visibility from operating contracts
Principal risks	Vacancy, construction delays, power availability, financing and renewal pricing	GPU obsolescence, replacement costs, compute pricing, utilization and financing	Cost overruns, project delays, performance obligations and uneven construction revenue
Korean exposure	KT, SKT, LG Uplus; hosting activities of other operators	NAVER, Samsung SDS and computing offerings of KT/SKT/LG CNS	LG CNS, Samsung SDS and KT

Source: Company data, Nomura research

Fig. 9: Korean AIDC operators' capacity to grow 6x until 2031F (cont'd...)

Industry	2026F	2027F	2028F	2029F	…	2031F	…	Long-term goal
SKT*	137	179	179	318		318		15,000
KT	152	202	232	292		1,150		1,150
Naver**	0	100	200	200		1,000		1,000
Samsung SDS	130	130	170	230		830		830
LG U+	165	197	295	365		400		400
	584	**808**	**1,076**	**1,405**		**3,698**		**18,380**

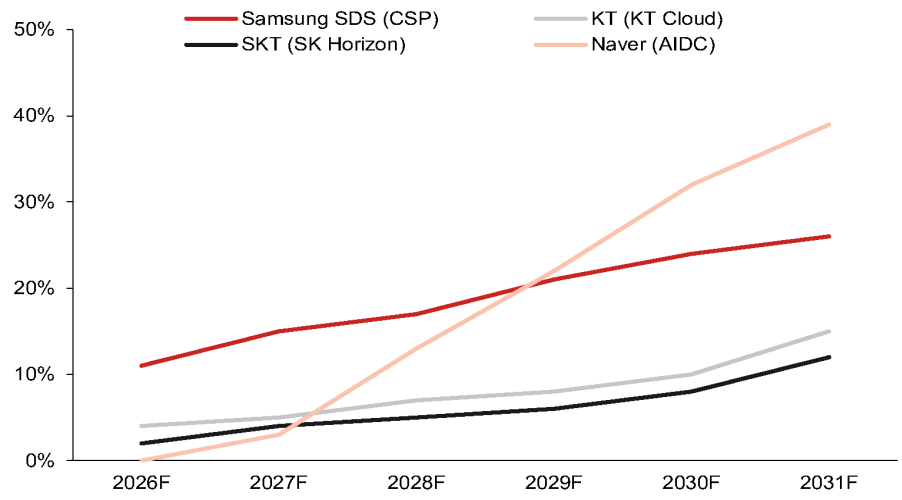
Note: SKT to ramp-up to 5GW starting 2029.
** Naver's long-term capacity goal shown in 2031F, for visualization purposes
Source: Company data, Nomura estimates

Fig. 10: Korean AIDC players' capacity expansion plans and competitiveness

Operator	Announced capacity	Core strength	Primary risk
Samsung SDS	- 130MW (2026) - 230MW (2029) - More than 800MW (2031)	Enterprise customer access and AI integration capabilities	Expansion beyond group affiliates faces intense competition from legacy telcos and global hyperscalers
KT	- 152MW (2026) - 1.15GW (2031)	Integrated connectivity, colocation and enterprise distribution: Its network footprint, operating experience and Microsoft partnership provide multiple routes to monetize enterprise AI demand	Power availability, construction timing and occupancy determine returns, while partner-led AI services require sufficient scale to generate attractive margins
Naver	- 55MW (1H27) - 100MW (end-2027) - 200MW (2028) - Long-term 1GW ambition	Integration across infra, models and applications gives Naver strict control over service latency and data privacy	High annual capex demands for GPU/power capacity requires accelerated B2B Enterprise monetization and contact execution to prove early ROIC
SKT	- 137MW (2026) - 5GW phased openings from 2029 - 318MW (2030) - 15GW (2035)	Hyperscaler partnership (AWS) and group execution resources	Massive long-term execution risk and capital intensity required to scale capacity to 15GW, alongside potential reliance on hypercaler partner dynamics (AWS)

Source: Company data, Nomura research

Fig. 11: Korea AIDC — companies' AIDC revenue exposure



Source: Company data, Nomura estimates

- **Samsung SDS: Captive access and integrated enterprise services**

Samsung Group relationships provide access to identifiable industrial workloads, while cloud and AI services broaden external opportunities. The company emphasizes on CSP growth supported by public-sector and external GPUaaS demand. We believe the combination can support phased infrastructure adoption and services beyond hosting. DBO adds another expansion route, in our view.

- **KT: Multiple routes to monetize enterprise demand**

KT combines data center services with domestic and international connectivity. KT Cloud offers both colocation for customer-owned GPUs and managed GPU infrastructure, alongside facilities tailored to different workload and location requirements. Its Gunsan DBO participation further broadens the model. We view this mix relatively constructively: it provides opportunities beyond selling owned GPU compute. Actual risk reduction depends on project ownership and contracts, while customer relationships must translate into billable utilization.

- **Naver: AI compute and sovereign AI commercialization**

Naver's announced GAK Sejong expansion combines its operating capabilities with NVIDIA technology and Brookfield capital, targeting Korean and US-based AI innovators. Its opportunity extends from infrastructure to models and services. We believe this creates meaningful growth potential, but commercial execution becomes increasingly important as capacity expands. Technology partnerships and funding announcements support development; customer commitments, pricing and service obligations determine earnings.

- **SKT: Group capabilities and large-scale infrastructure development**

SKT's strategy brings together semiconductor, energy and infrastructure capabilities across SK Group. The proposed SK Horizon platform would operate and expand data centers and subsea infrastructure, while SK Hyper develops GW-scale projects. These resources can support delivery and global customer acquisition. However, group-wide strategic benefits are distinct from returns accruing to SKT shareholders. Ownership, partner economics and project-level customer commitments remain central.

- **LG CNS: An established DBO competitor expanding its service scope**

LG CNS (064400 KS, Not rated) reported more than KRW1tn of large DBO orders in 1H26, alongside revenue from Samsong and Jukjeon projects and the launch of its XPUWorks computing subscription platform. Modular infrastructure and group cooling and power capabilities broaden its offering. We see it as an important competitor in outsourced development and enterprise services. Its model illustrates why participation in AIDC growth need not depend on owning the largest capacity base.

Global neoclouds: Commercial benchmarks, different financial exposure

CoreWeave and Nebius provide relevant benchmarks for AI compute commercialization, particularly Naver's AI Factory and the GPUaaS activities of other Korean operators. Their businesses combine computing infrastructure with software and operating services. The close comparison is therefore with AI cloud activities, rather than the entire businesses of diversified Korean operators.

- **Contracts provide a stronger benchmark than capacity announcement**. CoreWeave reported ~USD104bn of revenue backlog at end-2Q26, subject to delivery and service-availability requirements. We view this as evidence of commercial commitments, while recognizing that revenue realization still depends on execution. Korean operators' negotiations and strategic partnerships should be distinguished from binding computing contracts when assessing demand visibility.
- **High EBITDA margins do not establish operating profitability.** In 2Q26, CoreWeave reported a 59% adj. EBITDA margin, a 5% adj. OPM and a negative 2% GAAP OPM; net interest expense was USD640mn. Nebius presented an approximately 50% adj. EBITDA margin for its AI cloud business. These figures should not be compared directly with a Korean operator's OPM target.

For Naver, the key issue is whether partner-funded infrastructure and customer contracts can deliver attractive earnings after recurring facility and equipment costs. Depending on the final structure, these costs may appear as a depreciation, lease-related expenses or service payments. We therefore use neoclouds as commercial and economic benchmarks, without assuming that their margins transfer directly to Naver. Colocation and DBO offer different equipment exposure, but their returns also depend on contracts and execution.

Fig. 12: Coreweave (CRWV US, Not rated) financials

(USD mn)	2024	2025	2026E	2027E	2028E	1Q26	2Q26
Revenue	**1,915**	**5,131**	**12,895**	**26,558**	**42,212**	**2,078**	**2,575**
US	1,797	4,801	-	-	-	1,900	2,389
Other	118	330	-	-	-	178	186
Cost of revenue	493	2,906	4,135	7,734	12,213	716	879
Gross Profit	**1,422**	**2,225**	**8,655**	**18,762**	**28,938**	**1,362**	**1,696**
GPM (%)	*74%*	*43%*	*67%*	*71%*	*69%*	*66%*	*66%*
Total opex	1,098	2,271	8,373	15,877	22,641	1,506	1,745
Marketing & sales	18	144	286	513	788	69	60
General & administrative	119	651	788	1,381	2,467	164	178
Technology & infrastructure	961	1,476	7,094	13,460	20,820	1,273	1,507
Others	0	0	206	523	-1,433	0	0
Operating profit	**324**	**-46**	**282**	**2,884**	**6,297**	**-144**	**-49**
Adj. operating profit	**356**	**666**	**-**	**-**	**-**	**21**	**128**
OPM (%)	*17%*	*-1%*	*2%*	*11%*	*15%*	*-7%*	*-2%*
Adj. OPM (%)	*19%*	*13%*	*-*	*-*	*-*	*1%*	*5%*
Adj. EBITDA	**1,219**	**3,093**	-	-	-	1,157	1,510
Adj. EBITDAM (%)	*64%*	*60%*	*-*	*-*	*-*	*56%*	*59%*
Net interest expense	361	1,229	3,034	5,254	7,150	536	640
Net income	**-863**	**-1,167**	**-2,736**	**-2,166**	**-348**	**-740**	**-626**
NPM (%)	*-45%*	*-23%*	*-21%*	*-8%*	*-1%*	*-36%*	*-24%*
D&A	**863**	**2,454**	**6,528**	**12,520**	**19,622**	**1,147**	**1,393**
Technology & infrastructure	843	2,300	-	-	-	1,100	1,300
Others	20	154	-	-	-	47	93
Capex	**8,702**	**10,309**	**35,504**	**47,425**	**47,407**	**7,695**	**6,422**
Cost analysis (% of revenue)							
Cost of revenue	26%	57%	32%	29%	29%	34%	34%
Marketing & sales	1%	3%	2%	2%	2%	3%	2%
General & administrative	6%	13%	6%	5%	6%	8%	7%
Technology & infrastructure	50%	29%	55%	51%	49%	61%	59%
Others	0%	0%	2%	2%	-3%	0%	0%
D&A	45%	48%	51%	47%	46%	55%	54%
Net interest expense	19%	24%	24%	20%	17%	26%	25%

Note: Bloomberg consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 13: Nebius (NBIS US, Not rated) financials

(USD mn)	2024	2025	2026E	2027E	2028E	1Q26	2Q26
Revenue	**92**	**530**	**3,332**	**12,077**	**24,168**	**399**	**582**
US	41	340	-	-	-	-	-
UK	25	138	-	-	-	-	-
Rest of world	25	52	-	-	-	-	-
Cost of revenue	44	166	834	2,986	5,569	104	134
Gross Profit	**48**	**364**	**2,498**	**9,091**	**18,599**	**295**	**449**
GPM (%)	*52%*	*69%*	*75%*	*75%*	*77%*	*74%*	*77%*
Total opex	395	527	3,394	9,580	16,191	378	625
Product development	115	177	620	1,422	1,717	67	191
Sales, general & administrative	256	380	869	1,766	3,074	144	174
D&A	77	418	2,090	6,690	12,469	212	260
Operating profit	**-348**	**-164**	**-896**	**-489**	**2,409**	**-83**	**-176**
OPM (%)	*-380%*	*-31%*	*-27%*	*-4%*	*10%*	*-21%*	*-30%*
Net interest expense / (income)	-64	30	-	-	-	50	95
Net income	**-641**	**83**	**-438**	**-1,598**	**-716**	**621**	**-190**
NPM (%)	*-701%*	*16%*	*-13%*	*-13%*	*-3%*	*156%*	*-33%*
Capex	**808**	**4,066**	**23,421**	**28,766**	**33,761**	**2,472**	**5,657**
Cost analysis (% of revenue)							
Cost of revenue	48%	31%	25%	25%	23%	26%	23%
Product development	125%	33%	19%	12%	7%	17%	33%
Sales, general & administrative	279%	72%	26%	15%	13%	36%	30%
Others	-57%	-85%	-6%	-2%	-4%	-11%	0%
D&A	84%	79%	63%	55%	52%	53%	45%
Net interest expense / (income)	-70%	6%	-	-	-	12%	16%

Note: Bloomberg consensus estimates
Source: Bloomberg Finance L.P., Nomura research

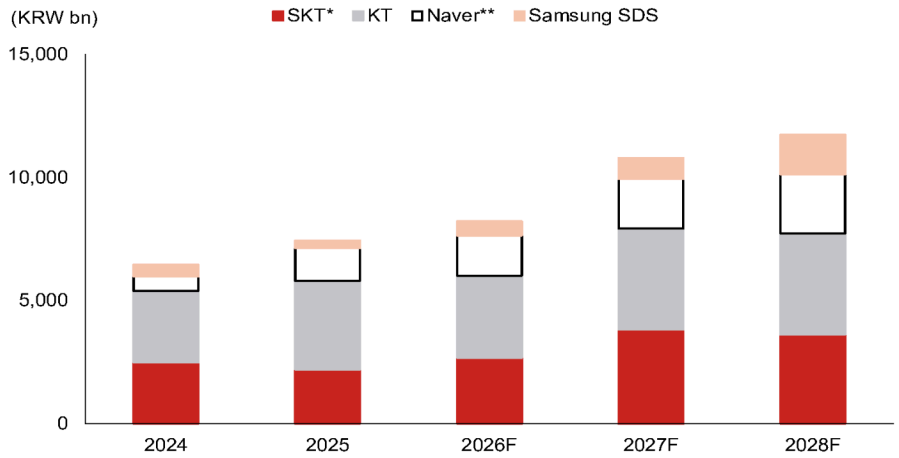
Funding: Capital access improves, obligations determine financial risk

AIDC expansion requires capital for facilities, power, cooling, computing equipment and working capital. Replacement cycles differ, while construction spending precedes revenue. We assess funding availability alongside obligations retained by the listed operator; even funded projects can deliver weak shareholder returns if utilization disappoints or recurring payments exceed customer cash flows.

- **Investment budgets are not directly comparable:** Some include GPUs and buildings; others cover services and opex. For example, KT's KRW5tn AIDC programme encompasses capex, opex and related costs, alongside a separate KRW1tn subsea cable investment. Dividing these budgets by headline capacity does not establish the cost of owning and equipping each MW.
- **Buildings and computing equipment require different financing assumptions:** Facilities can support multiple equipment generations, while GPUs face technological change and replacement costs. Financing terms depend on customer credit, contract duration, equipment value and delivery obligations. Funding must also cover commissioning delays, working capital and subsequent investment, rather than initial construction alone.
- **Compute equipment can dominate investment in GPU-intensive projects:** GPU systems, servers, networking and storage can account for a majority of investment in a fully equipped AI facility, although the share varies by hardware generation, cluster design and project scope. This exposure primarily impacts the equipment owner; customer-owned GPU colocation and third-party DBO have different capital requirements.
- **Equipment deployment is backend loaded in the delivery cycle:** CoreWeave illustrates 12-18 months of partner facility development followed by 1-2 months of GPU installation and testing before customer operation. We therefore expect equipment deployment to be concentrated near service commencement for each phase for our covered names.

We favour funding structures that match phased deployment to customer commitments and leave room for replacement investment and shareholder distributions. Samsung SDS' s financial resources and net cash position provide flexibility, while KT's service mix offers ways to moderate ownership requirements. Naver and SKT have strengthened partner capital access, but larger expansion phases require further evidence of funding and customer coverage. The investment distinction is how much capital and contractual exposure the listed company retains, and what return it earns in exchange.

Fig. 14: Major Korean AIDC operators' combined capex to record 16% CAGR over 2025-28F



Note: Non-consolidated project and partner investment is assessed separately.
Source: Company data, Nomura estimates

Global financing is expanding, with contracts central to terms

Global neocloud transactions demonstrate that GPU infrastructure can attract substantial debt funding when supported by customer commitments. CoreWeave closed an up-to-USD8.5bn infrastructure- and contract-backed facility in March 2026, including a floating-rate tranche at SOFR + 2.25%. Nebius announced ~USD775mn of secured financing in July, backed by deployed GPUs and an investment-grade customer's contracted cash flows, at SOFR + 2.50%. These are transaction-specific examples, rather than financing terms available to every AIDC developer.

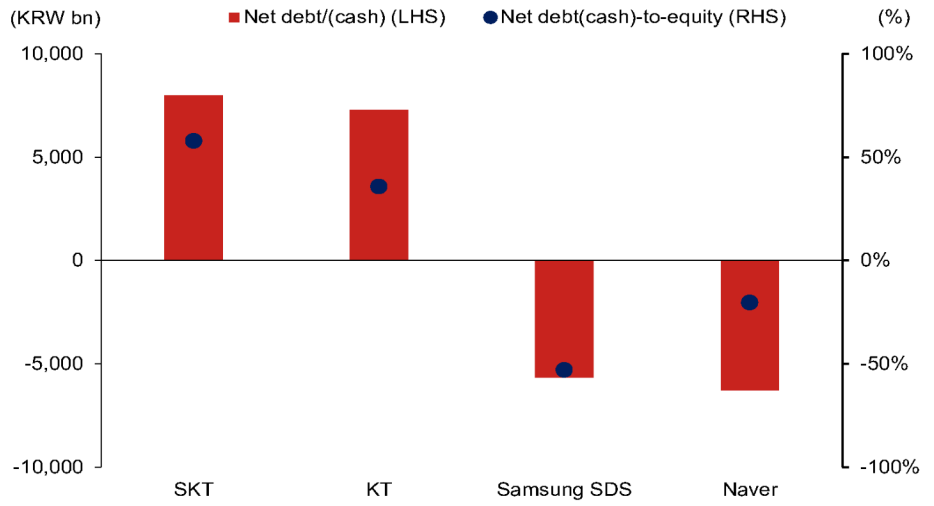
CoreWeave's August USD2.6bn facility has 5-year maturity against underlying customer contracts averaging 3 years, and was priced at SOFR + 5.50%. We believe this illustrates the importance of examining what supports repayment after initial contracts expire.

Korean operators combine different sources of capital

- **Samsung SDS — Liquidity supports phased investment:** Existing financial resources and cash generation provide flexibility, supplemented by the KRW1.22tn KKR CB agreement. We view this as an advantage when equipment deployment can be matched to demand. However, the assessment is whether deployed capital earns attractive returns, rather than whether spending can be funded.
- **KT — Moderate funding and replacement exposure for colocation and DBO:** Customer-owned GPU colocation and third-party DBO offer routes to participate without purchasing every GPU or owning every facility. This can moderate funding and replacement exposure for those activities. KT Cloud's debt-free balance sheet should also help overall financing. We remain relatively constructive on funding flexibility, subject to project contracts and cash generation.

- **Naver — Partner capital supports development; operating commitments matter:** The announced USD10bn initial AI Factory framework includes up to USD9bn from Brookfield and USD1bn from NVIDIA, with Naver funding any remaining amount. Naver's September update confirmed the partnership was progressing. This improves access to capital, but does not establish that the full framework has been drawn or that subsequent GW-scale phases are funded. We assess Naver's equity contribution, recurring infrastructure payments and any guarantees alongside customer commitments.
- **SKT — Platform equity strengthens the base, rather than funding the entire ambition:** The announced KRW3.08tn KKR/IMM investment relates to the proposed SK Horizon platform, with SKT retaining 51% after all investment phases. Horizon's 318MW portfolio is distinct from SK Hyper's long-term 15GW development ambition. The transaction broadens funding access but shares future subsidiary returns with investors. Funding for larger projects will require separate assessment of partners, customer contracts and SKT's attributable commitments.
- **LG CNS — DBO reduces asset ownership, not execution exposure:** Its established DBO business provides participation in projects funded by customers or project owners. Engineering and operating expertise can therefore be monetized without funding the entire infrastructure asset.

Fig. 15: AIDC operators — 2026F Net debt/(cash) and net debt-to-equity comparison



Source: Company data, Nomura estimates

External ownership does not automatically remove financial exposure

A JV or SPV may reduce direct capital requirements, but the operator can retain lease payments, completion support or guarantees. Whether an entity is consolidated depends on control and the applicable accounting rules, not its SPV label. Non-consolidated debt should therefore be considered alongside any enforceable obligations retained by the listed company.

Customer commitments should be assessed against payments and maturities

A long lease or debt obligation can outlast the initial compute contract. Customer renewal, alternative utilization and equipment competitiveness then determine cash-flow resilience. Prepayments also fund a future service obligation; they should not be treated as unrestricted profit.

Economics and Execution: Utilization and capital discipline determine returns

Revenue growth depends on utilization and service scope

AIDC capacity creates earnings potential, but monetization depends on customer commitments, service scope and delivery. We classify capacity as: announced, contracted, commissioned and revenue-generating. Contracted capacity may await delivery, while commissioned infrastructure may remain underutilized.

- **Revenue per MW is model-dependent**. Colocation monetizes occupied space, power capacity and related services; contracted minimum payments can support revenue even when customers use less electricity. GPUaaS monetizes computing availability through reserved-capacity or usage-based contracts, with greater equipment exposure. DBO generates construction revenue and subsequent operating fees, rather than a uniform revenue yield on capacity managed.
- **Utilization and pricing drive operating leverage**. Facility costs and depreciation can precede a full customer ramp. Higher billable utilization spreads these costs, while lower compute prices reduce the revenue available to recover investment. Minimum commitments can improve visibility, whereas spot exposure increases pricing and occupancy sensitivity.

High EBITDA margins do not establish shareholder returns

Global neoclouds demonstrate commercial potential alongside the cost of scaling GPU infrastructure. CoreWeave's 2Q26 adj. EBITDA margin was 59%, compared with a 5% adj. OPM and a -2% reported OPM. Depreciation and amortization were USD1.39bn, and net interest expense was USD640mn. Its adj. operating result also excludes stock-based compensation and other adjustments. For the same period, Nebius reported 50% adj. EBITDA margin for its AI cloud business. Its consolidated margin was 41%, reflecting a broader business scope; consolidated reported operating margin was -30%. These measures should be considered before assessing Korean operators' operating margin targets.

Ownership and accounting affect margin

Purchased GPUs generate depreciation. Partner-funded infrastructure can lower upfront investment while retaining substantial payment commitments. For Naver, neocloud margins provide an AI computing benchmark, rather than a direct operating profit assumption. Customer pricing must cover infrastructure payments, equipment exposure and service costs. Across operators, investors need to assess cash generation after investment and lease payments, alongside earnings attributable to listed shareholders. Renewal terms become particularly important when financing or infrastructure commitments extend beyond customer contracts. A large order book can improve visibility without eliminating performance obligations or future repricing.

We favour expansion supported by customer commitments and demonstrable cash earnings. Samsung SDS's captive access supports demand visibility, while KT's established operations and broader service mix offer relatively identifiable monetization routes. Naver and SKT's larger ambitions offer upside but require greater evidence of external contracts and profitable deployment.

NOMURA

Global Markets Research
14 October 2026

Samsung SDS 018260.KS 018260 KS

EQUITY: INTERNET & NEW MEDIA

Sector top pick

Captive demand anchors AI expansion; DBO adds capital-efficient growth

Action: Initiate at Buy with a TP of KRW250,000, implying 28% upside

We initiate on Samsung SDS (SDS) with a Buy rating and TP of KRW250,000, based on 23x 2027F EPS of KRW10,825. Our target PE represents 1-STD above the stock's average trading multiple of the past year as AI investment translates into earnings. The stock currently trades at 18x 2027F EPS. SDS is our top pick among Korean AIDC names, supported by demand visibility, integrated cloud capabilities and substantial financial resources. We expect Samsung Group's computing demand to absorb a significant portion of its planned 220MW AI infrastructure footprint, thereby reducing reliance on securing large external tenants. External enterprise demand and data center DBO (design, build, operate) contracts provide additional growth opportunities. Key downside risks include slower demand and utilization ramp-up, GPU pricing pressure and obsolescence, and lower returns on infrastructure investment.

AI infra: Captive demand anchors expansion; DBO adds capital-efficient growth

SDS plans to expand its AI infrastructure footprint from 110MW to 230MW by 2029E and over 800MW by 2031E, including DBO projects. The pipeline includes Dongtan's west wing, the National AI Computing Center in Haenam and the 60MW Gumi AIDC. Captive, public-sector and external enterprise demand should support utilisation, although depreciation and commissioning costs may constrain initial profitability. DBO offers an additional growth avenue, monetising its design, construction and operating expertise with lower capital requirements and generating project revenue, recurring fees and potential colocation income. Management targets 500MW of DBO capacity by 2031E. SDS's operating track record and enterprise relationships support its entry into this market.

Funding: Substantial liquidity supports AI investment cycle

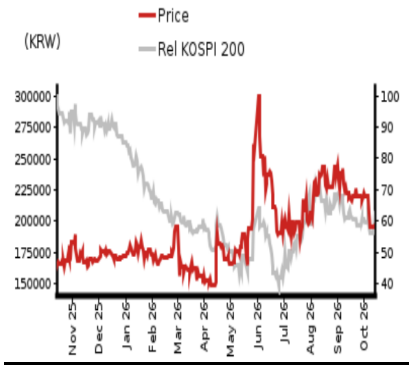
Samsung SDS's KRW5.6tn net cash position and operating cash generation provide flexibility to fund expansion. Management plans to invest KRW10tn through 2031, including KRW5tn in AI infrastructure, alongside AI services, platforms and strategic investments. ~KRW1.2tn of KKR (KKR US, Not rated) convertible-bond financing adds funding, while the partnership supports M&A and global expansion. We view funding capacity as a competitive advantage, allowing phased investment as demand develops. Returns on deployed capital, lower interest income as cash is invested and potential CB dilution remain important considerations for shareholder value creation.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	13,930	0	14,289	0	15,430	0	15,940
Reported net profit (bn)	760	0	673	0	838	0	877
Normalised net profit (bn)	760	0	673	0	838	0	877
FD normalised EPS	9,816		8,700		10,825		11,339
FD norm. EPS growth (%)	0.3		-11.4		24.4		4.7
FD normalised P/E (x)	19.9	–	22.5	–	18.1	–	17.2
EV/EBITDA (x)	14.3	–	16.1	–	12.9	–	12.2
Price/book (x)	1.5	–	1.5	–	1.4	–	1.3
Dividend yield (%)	1.5	–	1.5	–	1.5	–	1.5
ROE (%)	7.9		6.6		7.9		7.8
Net debt/equity (%)	net cash		net cash		net cash		net cash

Source: Company data, Nomura estimates

Rating Starts at	**Buy**
Target price Starts at	**KRW 250,000**
Closing price 12 October 2026	**KRW 195,400**
Implied upside	**+27.9%**
Market Cap (USD mn)	11,341.5
ADT (USD mn)	35.7

Relative performance chart



Source: LSEG, Nomura

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Key data on Samsung SDS

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-12.2	-2.1	15.3	M cap (USDmn)	11,341.5
Absolute (USD)	-11.6	10.1	23.6	Free float (%)	42.3
Rel to KOSPI 200	-4.4	13.9	-82.9	3-mth ADT (USDmn)	35.7

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	13,828	13,930	14,289	15,430	15,940
Cost of goods sold	-11,816	-11,850	-12,340	-13,211	-13,659
Gross profit	2,012	2,080	1,949	2,218	2,282
SG&A	-1,101	-1,123	-1,138	-1,161	-1,173
Employee share expense					
Operating profit	911	957	811	1,057	1,109
EBITDA	983	1,025	882	1,142	1,207
Depreciation	-69	-65	-66	-82	-94
Amortisation	-2	-3	-5	-4	-4
EBIT	911	957	811	1,057	1,109
Net interest expense	174	118	154	143	144
Associates & JCEs	3	6	6	6	6
Other income	15	-6	-9	-9	-9
Earnings before tax	1,103	1,076	961	1,197	1,250
Income tax	-313	-293	-274	-336	-353
Net profit after tax	790	783	687	861	897
Minority interests	-33	-23	-14	-23	-20
Other items					
Preferred dividends					
Normalised NPAT	757	760	673	838	877
Extraordinary items					
Reported NPAT	757	760	673	838	877
Dividends	-216	-233	-233	-227	-231
Transfer to reserves	541	526	440	610	646
Valuations and ratios					
Reported P/E (x)	20.0	19.9	22.5	18.1	17.2
Normalised P/E (x)	20.0	19.9	22.5	18.1	17.2
FD normalised P/E (x)	20.0	19.9	22.5	18.1	17.2
Dividend yield (%)	1.4	1.5	1.5	1.5	1.5
Price/cashflow (x)	12.2	12.6	8.2	8.6	8.0
Price/book (x)	1.6	1.5	1.5	1.4	1.3
EV/EBITDA (x)	15.0	14.3	16.1	12.9	12.2
EV/EBIT (x)	16.2	15.3	17.5	13.9	13.3
Gross margin (%)	14.6	14.9	13.6	14.4	14.3
EBITDA margin (%)	7.1	7.4	6.2	7.4	7.6
EBIT margin (%)	6.6	6.9	5.7	6.8	7.0
Net margin (%)	5.5	5.5	4.7	5.4	5.5
Effective tax rate (%)	28.4	27.2	28.5	28.1	28.2
Dividend payout (%)	28.5	30.7	34.6	27.2	26.4
ROE (%)	8.1	7.9	6.6	7.9	7.8
ROA (pretax %)	8.3	8.2	6.8	8.3	8.1
Growth (%)					
Revenue	4.2	0.7	2.6	8.0	3.3
EBITDA	10.0	4.3	-14.0	29.5	5.7
Normalised EPS	9.2	0.3	-11.4	24.4	4.7
Normalised FDEPS	9.2	0.3	-11.4	24.4	4.7

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	983	1,025	882	1,142	1,207
Change in working capital	-252	-205	253	-105	-67
Other operating cashflow	507	383	709	723	740
Cashflow from operations	1,238	1,203	1,844	1,760	1,880
Capital expenditure	-525	-357	-473	-497	-483
Free cashflow	713	846	1,371	1,263	1,397
Reduction in investments					
Net acquisitions	-539	-453	-335	-442	-410
Dec in other LT assets	20	-14	-22	-4	
Inc in other LT liabilities	-16	17	26	8	
Adjustments	-5	-18	-104	-761	-465
CF after investing acts	169	379	935	64	525
Cash dividends	-216	-233	-233	-227	-231
Equity issue					
Debt issue	-212	-242	872	-198	-201
Convertible debt issue					
Others	140	-14	0	0	0
CF from financial acts	-288	-489	639	-425	-433
Net cashflow	-119	-110	1,573	-361	93
Beginning cash	1,788	1,669	1,559	3,132	2,771
Ending cash	1,669	1,559	3,132	2,771	2,864
Ending net debt	-742	-1,203	-728	-701	

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,669	1,559	3,132	2,771	2,864
Marketable securities	4,355	4,821	4,477	5,012	5,230
Accounts receivable	2,534	2,595	2,555	2,752	2,876
Inventories	19	15	25	23	24
Other current assets	427	415	438	470	483
Total current assets	9,004	9,406	10,627	11,028	11,476
LT investments	1,398	1,243	1,433	1,495	1,522
Fixed assets	1,774	1,752	2,115	2,480	2,819
Goodwill					
Other intangible assets	814	824	863	910	956
Other LT assets	249	229	243	265	269
Total assets	13,238	13,454	15,281	16,177	17,042
Short-term debt	267	262	537	593	641
Accounts payable	1,703	1,603	1,788	1,879	1,942
Other current liabilities	526	467	527	558	566
Total current liabilities	2,495	2,332	2,852	3,030	3,149
Long-term debt	717	555	1,392	1,450	1,522
Convertible debt					
Other LT liabilities	320	304	321	347	355
Total liabilities	3,533	3,191	4,565	4,827	5,026
Minority interest	372	347	361	384	404
Preferred stock					
Common stock	1,336	1,336	1,336	1,336	1,336
Retained earnings	7,995	8,530	8,970	9,580	10,226
Proposed dividends					
Other equity and reserves	2	50	50	50	50
Total shareholders' equity	9,333	9,916	10,356	10,966	11,612
Total equity & liabilities	13,238	13,454	15,281	16,177	17,042
Liquidity (x)					
Current ratio	3.61	4.03	3.73	3.64	3.64
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (KRW)	9,783	9,816	8,700	10,825	11,339
Norm EPS (KRW)	9,783	9,816	8,700	10,825	11,339
FD norm EPS (KRW)	9,783	9,816	8,700	10,825	11,339
BVPS (KRW)	120,617	128,151	133,837	141,723	150,073
DPS (KRW)	2,790	3,013	3,014	2,939	2,989
Activity (days)					
Days receivable	62.9	67.2	65.8	62.8	64.6
Days inventory	0.7	0.5	0.6	0.7	0.6
Days payable	52.0	50.9	50.1	50.7	51.2
Cash cycle	11.5	16.8	16.2	12.8	14.0

Source: Company data, Nomura estimates

Company profile

Samsung SDS provides information technology (IT) and consulting services to businesses worldwide. Areas of specialty include IT management and online businesses development; systems integration and outsourcing; packaged software development and sales; system resources management, business recovery services, web hosting, call center management, content delivery network management, and IT training, among other services. The company has operations in about 10 countries. Established in 1985, SDS Samsung is a subsidiary of top Korean conglomerate Samsung.

Valuation Methodology

Our TP of KRW 250,000 is based on a target P/E of 23x 2027F EPS.

Risks that may impede the achievement of the target price

Key downside risks include slower demand and utilization ramp-up, GPU pricing pressure and obsolescence, and lower returns on infrastructure investment.

ESG

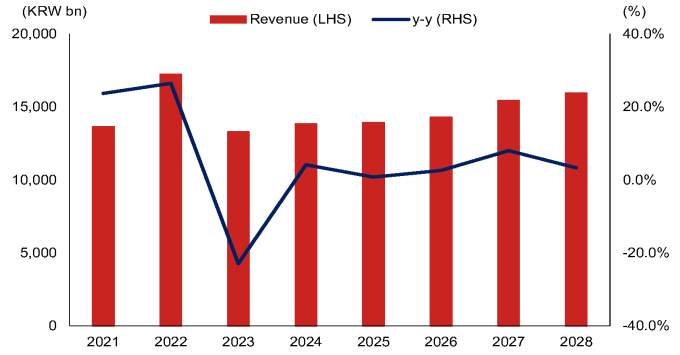
Samsung SDS's board-level ESG Committee, with four independent directors and one executive director, meets quarterly to oversee climate and sustainability matters. Under its 2025–2027 dividend policy, the company targets a payout ratio of around 30%; FY25 DPS rose 10% YoY. It aims to source 25% of its electricity from renewables by 2030 (3.1% in 2025). Data-centre efficiency upgrades cut emissions by 7,965 tCO2e in 2025.

Fig. 16: Global AIDC operators — peer valuation

Company	Ticker	Market Cap (USD mn)	Rating	Local Price 12-Oct	P/E (x)		EPS growth (%)		OPM (%)		NPM (%)		EV/EBITDA		P/B (x)		ROE	
					FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F	FY26F	FY27F
Samsung SDS	018260 KS	11,324	Buy	196,800	23	18	(11)	24	6	7	5	5	16	13	1.5	1.4	7	8
KT Corp	030200 KS	9,433	Buy	49,900	8	8	(14)	7	8	8	5	6	4	4	0.7	0.6	8	8
Naver	035420 KS	21,250	Neutral	180,500	17	15	(12)	12	15	15	13	13	8	7	1.0	0.9	6	7
SK Telecom	017670 KS	12,841	Neutral	79,700	14	13	207	7	11	10	7	7	5	5	1.2	1.2	9	10
Hyundai Autoever	307950 KS	6,934	Not rated	340,000	43	36	10	22	6	6	4	5	18	16	4.6	4.2	11	12
LG CNS	064400 KS	4,633	Not rated	64,300	13	12	12	13	9	9	7	7	7	6	1.9	1.7	15	15
Korea average					**20**	**17**	**32**	**14**	**9**	**9**	**7**	**7**	**10**	**8**	**1.8**	**1.7**	**9**	**10**
NTT	9432 JP	98,971	Buy	173	14	12	(0)	15	11	12	7	7	8	8	1.4	1.3	10	11
SoftBank Corp	9434 JP	73,509	Buy	242	19	18	15	2	17	17	8	8	9	8	4.1	3.8	21	20
KDDI	9433 JP	73,289	Buy	2,893	15	14	7	8	19	20	12	12	8	7	2.1	2.0	14	15
Fujitsu	6702 JP	46,742	Buy	4,250	23	20	(28)	14	12	13	9	9	15	13	3.5	3.2	15	16
Sakura Internet	3778 JP	1,000	Buy	3,775	78	61	792	28	7	8	4	5	12	9	4.7	4.4	6	7
Japan average					**30**	**25**	**157**	**14**	**13**	**14**	**8**	**8**	**10**	**9**	**3.1**	**2.9**	**13**	**14**
Tencent	700 HK	492,822	Buy	426	13	12	1	8	31	30	32	31	12	11	2.4	2.1	18	16
Alibaba	BABA US	275,592	Buy	111	17	12	(10)	58	8	12	9	11	8	6	1.5	1.3	9	12
China Telecom	728 HK	54,397	Neutral	5	12	11	(4)	5	7	8	6	6	2	2	0.8	0.8	7	7
GDS Holdings	GDS US	5,812	Buy	30	na	na	na	na	13	2	(1)	(7)	13	15	1.5	1.5	(0)	(3)
China average					**14**	**12**	**(4)**	**24**	**15**	**13**	**12**	**11**	**9**	**8**	**1.6**	**1.4**	**8**	**8**
Tata Consultancy Services	TCS IN	80,289	Buy	2,125	14	13	12	8	24	25	19	20	10	9	6.4	6.9	49	51
HCL Tech	HCLT IN	34,557	Buy	1,223	16	15	25	8	18	18	14	15	11	10	4.1	4.0	27	27
India average					**15**	**14**	**18**	**8**	**21**	**22**	**17**	**17**	**10**	**9**	**5.3**	**5.4**	**38**	**39**
Equinix	EQIX US	101,888	Not rated	1,033	60	53	17	12	23	24	17	17	23	21	7.1	7.0	13	14
Nebius	NBIS US	60,425	Not rated	210	na	na	na	na	(27)	(4)	(21)	(7)	44	9	5.6	6.0	(4)	(4)
Digital Realty	DLR US	67,873	Not rated	180	57	57	(15)	1	18	18	15	13	22	20	2.5	2.6	4	3
Coreweave	CRWV US	44,855	Not rated	80	na	na	na	na	8	15	(17)	(4)	10	4	9.7	9.0	(40)	(21)
IREN	IREN US	13,713	Not rated	35	na	na	na	na	(94)	(15)	(23)	(25)	57	9	4.2	4.7	(5)	(35)
Applied Digital	APLD US	7,031	Not rated	23	na	na	na	na	(40)	2	(37)	(33)	124	31	3.2	2.4	3	(19)
US average					**58**	**55**	**1**	**6**	**(19)**	**7**	**(11)**	**(7)**	**47**	**16**	**5.4**	**5.3**	**(5)**	**(10)**
Average					**27**	**25**	**41**	**13**	**8**	**13**	**6**	**7**	**17**	**10**	**3.4**	**3.4**	**13**	**12**

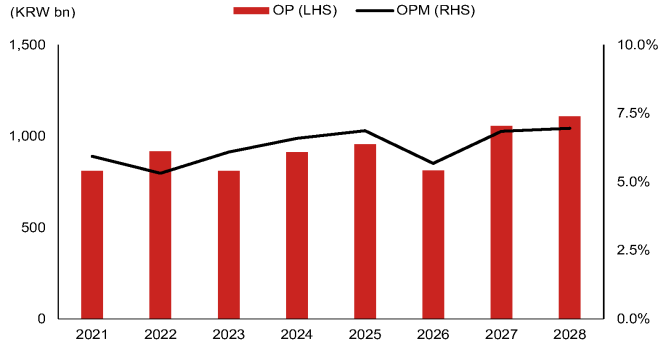
Note: Bloomberg consensus for not rated companies.
Source: Company data, Nomura estimates, Bloomberg Finance L.P.

Fig. 17: Samsung SDS — revenue and growth trend



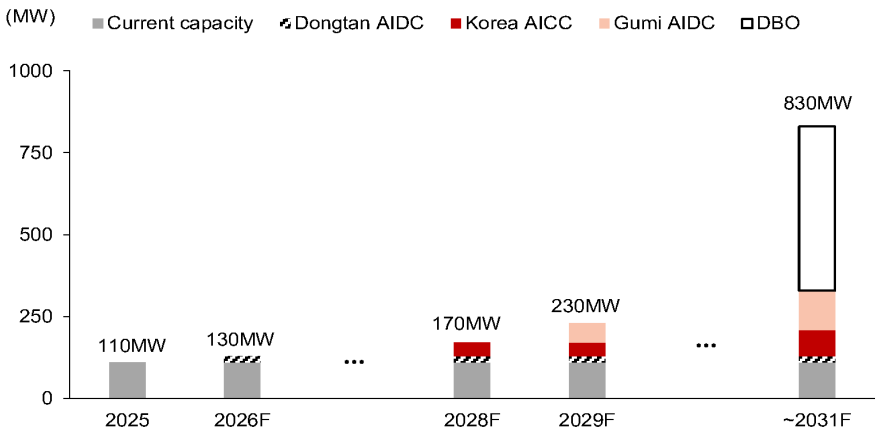
Source: Company data, Nomura estimates

Fig. 18: Samsung SDS — OP and OPM trend



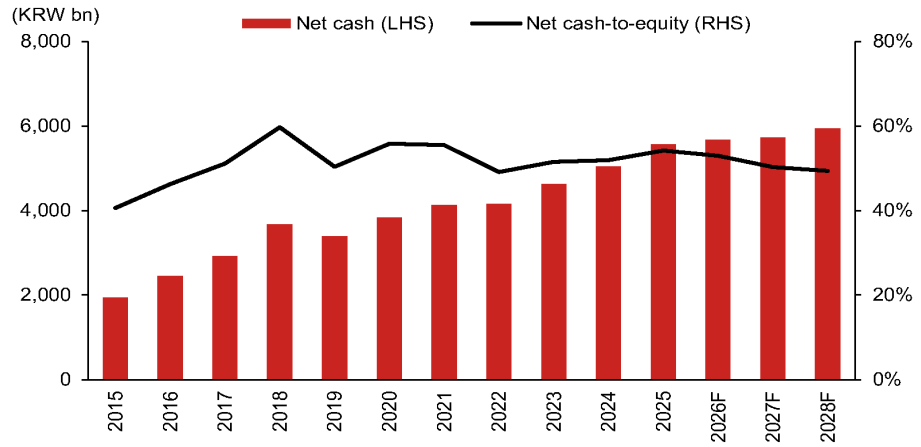
Source: Company data, Nomura estimates

Fig. 19: Samsung SDS — AIDC capacity expansion schedule



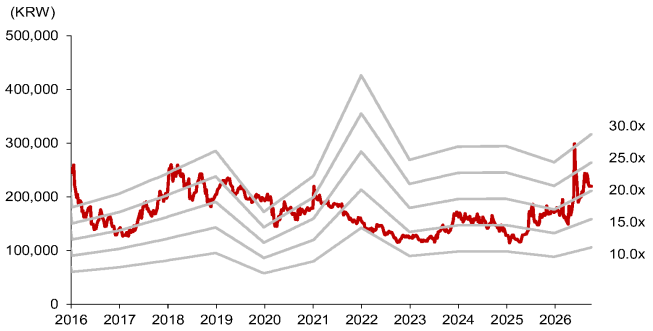
Source: Company data, Nomura estimates

Fig. 20: Samsung SDS — Net cash & net cash / equity



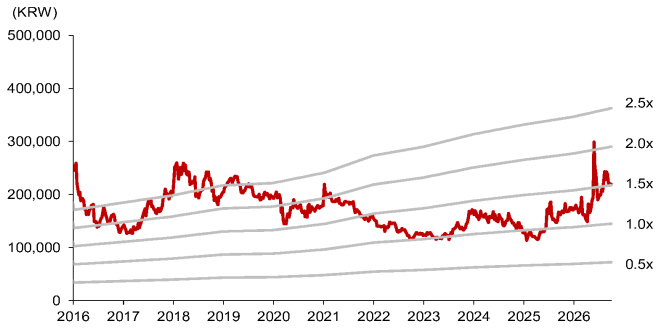
Source: Company data, Nomura estimates

Fig. 21: Samsung SDS — 12MF P/E band



Source: Company data, Nomura estimates, QuantiWise

Fig. 22: Samsung SDS — 12MF P/B band



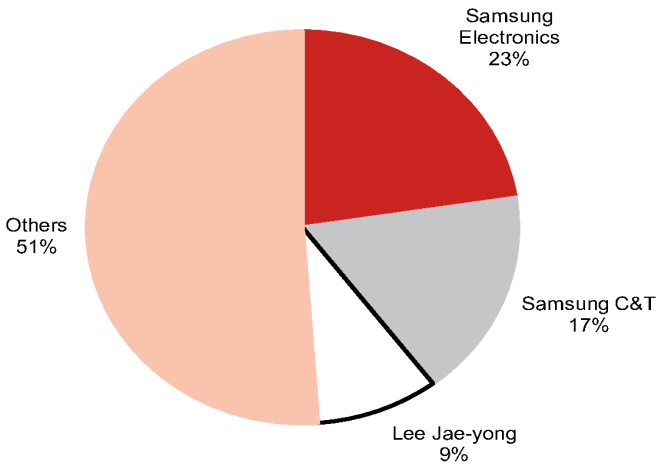
Source: Company data, Nomura estimates, QuantiWise

Fig. 23: Samsung SDS — Nomura earnings estimates vs Bloomberg consensus

	2026F			2027F			2028F		
(KRWbn)	Nomura	Cons.	diff. (%)	Nomura	Cons.	diff. (%)	Nomura	Cons.	diff. (%)
Revenue	**14,289**	**14,504**	**-1%**	**15,430**	**15,306**	**1%**	**15,940**	**16,209**	**-2%**
IT services	7,133			8,108			8,608		
Cloud	3,455			4,588			5,248		
SI	943			888			838		
ITO	2,734			2,632			2,522		
Logistics	7,157			7,322			7,333		
A&O	3,404			3,504			3,453		
W&M	3,753			3,818			3,879		
OP	**811**	**826**	**-2%**	**1,057**	**1,084**	**-2%**	**1,109**	**1,229**	**-10%**
IT services	741			961			0		
Logistics	96			121			0		
NP to parent	**673**	**702**	**-4%**	**838**	**913**	**-8%**	**877**	**1,026**	**-14%**
Margin									
OPM	5.7%	5.7%		6.8%	7.1%		7.0%	7.6%	
NPM	4.7%	4.8%		5.4%	6.0%		5.5%	6.3%	
Growth									
Revenue	3%			8%			3%		
OP	6%			7%			7%		
NP to parent	-11%			24%			5%		

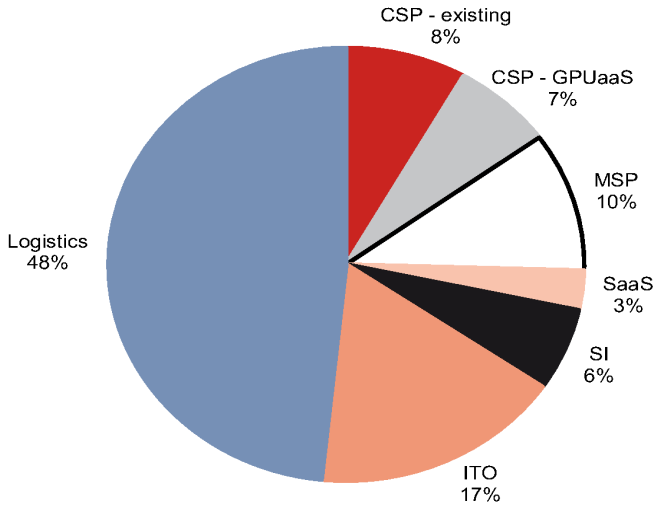
Source: Company data, Nomura estimates, Bloomberg Finance L.P.

Fig. 24: Samsung SDS — shareholding structure



Source: Company data, Nomura research

Fig. 25: Samsung SDS — revenue breakdown (2027F)



Source: Company data, Nomura estimates

Business overview: Enterprise IT services and digital logistics

Samsung SDS is Samsung Group's enterprise IT and logistics services provider, supporting customers' digital transformation and global supply-chain operations. Its IT services business spans cloud infrastructure, enterprise systems and outsourced IT operations, while logistics combines transport and warehousing services. Samsung Group relationships underpin both businesses, alongside growing external customer opportunities. Within this portfolio, cloud and AI infrastructure are central to its growth strategy, broadening its role from enterprise IT management to AI computing and deployment

IT services: Cloud, system integration and IT outsourcing
Samsung SDS's IT services business comprises cloud, system integration (SI) and IT outsourcing (ITO). Cloud includes Cloud Service Provider (CSP) activities, such as computing, storage and networking through Samsung Cloud Platform, alongside GPUaaS for AI workloads. Managed Service Provider (MSP) activities help customers migrate to, integrate and operate cloud environments, including third-party platforms. SI designs and implements enterprise systems, such as enterprise resource planning (ERP), manufacturing and financial applications, generating project-based revenue. ITO provides ongoing management, maintenance and support for customers' applications and infrastructure, offering a more recurring revenue base. AIDC and GPUaaS expansion supports CSP growth, while enterprise AI adoption creates additional integration and managed-service opportunities.

Logistics: Integrated transport and digital supply-chain services
The logistics business manages customers' freight movements through international ocean and air forwarding, inland transportation, warehousing and distribution services. Samsung SDS coordinates logistics partners and uses its own platform to support shipment planning, execution and visibility. Revenue reflects logistics services delivered, rather than simply software subscription or marketplace fees, making performance sensitive to freight rates, shipment volumes and service mix. Samsung Group companies provide an established customer base, while external customers broaden the business.

NOMURA

Global Markets Research

14 October 2026

KT Corp 030200.KS 030200 KS

EQUITY: TELECOMS

Connected infrastructure supports growth

Demand-led expansion and DBO likely to broaden monetization

Action: Upgrade to Buy and raise TP to KRW63,000, implying 26% upside

We upgrade KT to Buy (from Neutral) and raise TP to KRW63,000 (from KRW62,000), based on 10x 2027F EPS – the 10-year average P/E multiple. KT's shares have fallen ~28% over the past 8 months amid weaker earnings (vs. KOSPI +4%), which faced a tough comparison against last year's high property profits, but we expect easing customer compensation and growing AIDC contributions to support its earnings recovery and re-rating. We favor KT's established data-center operations, enterprise relationships and connectivity, which should provide opportunities to monetize AI demand. Compared to SKT's (017670 KS, Neutral) group-led expansion and Naver's (035420 KS, Neutral) AI Factory, KT offers a mix of colocation, cloud and DBO (Design, Build, Operate) services, supporting a more balanced earnings and investment profile, though relationships must translate into contracted utilization. Key downside risks include slow customer commitments and high funding requirements.

AI infra: Customer-led deployment and connectivity differentiate growth

KT targets 1GW of AIDC supply by 2031E, combining customer-oriented facilities with domestic networks and international subsea connectivity. Its strategy spans hyperscale, edge and micro infrastructure tailored to workload and location requirements. This broadens its addressable market beyond large compute customers, while connectivity can support overseas customer acquisition and additional revenue. Unlike Naver's initial master-lease expansion, KT's supply footprint also includes third-party DBO projects, such as Gunsan, generating construction and operating income without requiring ownership of every facility. We expect existing operations and phased deployment to support earnings growth, while assessing the uncontracted pipeline separately.

Funding: Diverse models support capital flexibility

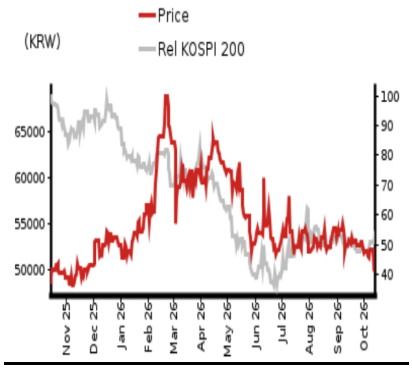
KT has guided for KRW5tn of AIDC investment and KRW1tn for subsea cables over the next five years, encompassing capex, opex and related costs. We believe DBO and customer-owned GPU colocation can temper funding and equipment replacement exposure compared with a predominantly owned-GPU model. KT's program is smaller than SKT's 15GW ambition, although ultimate financial exposure depends on each project's ownership and contractual structure, in our view. Our Buy rating rests upon our forecast earnings and KT's disciplined expansion rather than full monetization of the 1GW target. Incremental borrowing, guarantees and cash generation remain key to ensuring infrastructure growth is compatible with shareholder returns, in our view.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	28,244	27,999	27,386	28,246	27,824	28,905	28,881
Reported net profit (bn)	1,731	1,493	1,459	1,534	1,544	1,624	1,711
Normalised net profit (bn)	1,731	1,493	1,459	1,534	1,544	1,624	1,711
FD normalised EPS	6,867	6,045	5,906	6,257	6,299	6,674	7,033
FD norm. EPS growth (%)	268.0	-12.0	-14.0	3.5	6.7	6.7	11.6
FD normalised P/E (x)	7.3	–	8.4	–	7.9	–	7.1
EV/EBITDA (x)	3.4	–	3.7	–	3.8	–	3.6
Price/book (x)	0.7	–	0.7	–	0.6	–	0.6
Dividend yield (%)	4.8	–	5.0	–	5.1	–	5.2
ROE (%)	10.2	8.3	8.1	8.0	8.1	8.1	8.5
Net debt/equity (%)	41.2	39.0	39.4	39.9	40.2	38.2	38.3

Source: Company data, Nomura estimates

Rating Up from Neutral	**Buy**
Target price Increased from KRW 62,000	**KRW 63,000**
Closing price 12 October 2026	**KRW 49,900**
Implied upside	**+26.3%**
Market Cap (USD mn)	9,433.4
ADT (USD mn)	11.3

Relative performance chart



Source: LSEG, Nomura

Research Analysts

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Key data on KT Corp

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-5.3	-7.9	0.1	M cap (USDmn)	9,433.4
Absolute (USD)	-4.7	3.5	7.3	Free float (%)	94.0
Rel to KOSPI 200	2.5	8.1	-98.1	3-mth ADT (USDmn)	11.3

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	26,431	28,244	27,386	27,824	28,881
Cost of goods sold					
Gross profit	26,431	28,244	27,386	27,824	28,881
SG&A	-25,622	-25,775	-25,311	-25,625	-26,459
Employee share expense					
Operating profit	810	2,469	2,075	2,198	2,422
EBITDA	4,687	6,349	5,840	5,916	6,158
Depreciation	-3,878	-3,880	-3,765	-3,717	-3,735
Amortisation					
EBIT	810	2,469	2,075	2,198	2,422
Net interest expense	-71	-107	-119	-115	-137
Associates & JCEs	9	18	62	63	63
Other income	-162	38	62	26	42
Earnings before tax	585	2,418	2,080	2,173	2,390
Income tax	-168	-581	-514	-535	-588
Net profit after tax	417	1,837	1,565	1,638	1,802
Minority interests	53	-106	-107	-94	-91
Other items					
Preferred dividends					
Normalised NPAT	470	1,731	1,459	1,544	1,711
Extraordinary items					
Reported NPAT	470	1,731	1,459	1,544	1,711
Dividends	-483	-492	-579	-603	-615
Transfer to reserves	-13	1,239	880	942	1,096
Valuations and ratios					
Reported P/E (x)	26.5	7.4	8.6	7.9	7.1
Normalised P/E (x)	26.5	7.4	8.6	7.9	7.1
FD normalised P/E (x)	26.7	7.3	8.4	7.9	7.1
Dividend yield (%)	4.0	4.8	5.0	5.1	5.2
Price/cashflow (x)	2.5	2.5	2.4	2.3	2.2
Price/book (x)	0.8	0.7	0.7	0.6	0.6
EV/EBITDA (x)	4.5	3.4	3.7	3.8	3.6
EV/EBIT (x)	25.9	8.7	10.2	9.9	9.1
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
EBITDA margin (%)	17.7	22.5	21.3	21.3	21.3
EBIT margin (%)	3.1	8.7	7.6	7.9	8.4
Net margin (%)	1.8	6.1	5.3	5.6	5.9
Effective tax rate (%)	28.7	24.0	24.7	24.6	24.6
Dividend payout (%)	102.7	28.4	39.7	39.0	35.9
ROE (%)	2.9	10.2	8.1	8.1	8.5
ROA (pretax %)	2.1	6.4	5.5	5.9	6.3
Growth (%)					
Revenue	0.2	6.9	-3.0	1.6	3.8
EBITDA	-14.2	35.5	-8.0	1.3	4.1
Normalised EPS	-52.2	260.4	-14.1	8.0	11.6
Normalised FDEPS	-52.4	268.0	-14.0	6.7	11.6

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	4,687	6,349	5,840	5,916	6,158
Change in working capital	984	-712	251	-3	201
Other operating cashflow	-606	-696	-879	-673	-959
Cashflow from operations	5,066	4,942	5,211	5,240	5,400
Capital expenditure	-3,348	-4,041	-3,733	-4,483	-4,470
Free cashflow	1,718	901	1,478	757	930
Reduction in investments	-79	-74	958	-726	-408
Net acquisitions					
Dec in other LT assets	454	2	156	172	189
Inc in other LT liabilities	-449	119	-2,922	-1,096	-778
Adjustments	577	-524	2,783	824	573
CF after investing acts	2,220	423	2,454	-69	507
Cash dividends	-483	-492	-579	-603	-615
Equity issue					
Debt issue	303	265	131	533	270
Convertible debt issue					
Others	-1,203	-406	-1,887	82	33
CF from financial acts	-1,383	-633	-2,335	12	-312
Net cashflow	837	-210	119	-57	195
Beginning cash	2,880	3,717	3,507	3,626	3,569
Ending cash	3,717	3,507	3,626	3,569	3,764
Ending net debt	6,804	7,279	7,290	7,880	7,955

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	3,717	3,507	3,626	3,569	3,764
Marketable securities					
Accounts receivable	3,987	3,964	3,584	3,554	3,676
Inventories	940	416	689	555	651
Other current assets	5,608	6,091	6,645	6,984	7,158
Total current assets	14,252	13,978	14,543	14,662	15,249
LT investments	1,562	1,564	1,720	1,892	2,082
Fixed assets	14,826	14,259	13,825	14,046	14,580
Goodwill					
Other intangible assets	1,863	1,557	1,235	973	784
Other LT assets	9,377	11,592	10,478	11,032	11,251
Total assets	41,880	42,949	41,802	42,606	43,946
Short-term debt	3,905	2,500	3,291	3,052	3,329
Accounts payable	7,395	6,869	7,161	7,021	7,420
Other current liabilities	2,575	2,325	2,730	3,043	3,237
Total current liabilities	13,875	11,693	13,182	13,116	13,985
Long-term debt	6,616	8,286	7,625	8,397	8,391
Convertible debt					
Other LT liabilities	3,393	3,512	590	-506	-1,284
Total liabilities	23,883	23,491	21,397	21,007	21,092
Minority interest	1,786	1,802	1,893	1,987	2,087
Preferred stock					
Common stock	3,005	3,005	3,005	3,005	3,005
Retained earnings	13,780	14,964	15,951	16,986	18,174
Proposed dividends					
Other equity and reserves	-574	-313	-444	-379	-411
Total shareholders' equity	16,211	17,656	18,512	19,612	20,767
Total equity & liabilities	41,880	42,949	41,802	42,606	43,946
Liquidity (x)					
Current ratio	1.03	1.20	1.10	1.12	1.09
Interest cover	11.4	23.1	17.5	19.1	17.7
Leverage					
Net debt/EBITDA (x)	1.45	1.15	1.25	1.33	1.29
Net debt/equity (%)	42.0	41.2	39.4	40.2	38.3
Per share					
Reported EPS (KRW)	1,884	6,789	5,831	6,298	7,032
Norm EPS (KRW)	1,884	6,789	5,831	6,298	7,032
FD norm EPS (KRW)	1,866	6,867	5,906	6,299	7,033
BVPS (KRW)	63,591	70,570	75,503	80,607	86,016
DPS (KRW)	2,000	2,400	2,500	2,550	2,600
Activity (days)					
Days receivable	57.1	51.4	50.3	46.8	45.8
Days inventory	–	–	–	–	
Days payable	–	–	–	–	
Cash cycle	57.1	–	–	–	–

Source: Company data, Nomura estimates

Company profile

KT Corp is a Korea-based company that mainly provides telecommunication services. The Company operates its business through four segments. The Information and Communications Technologies segment is engaged in providing telecommunication services to individual, home, corporate customers and the convergence business. The Finance segment is engaged in providing financial services, such as credit card. The Satellite Broadcasting segment provides satellite television services. The Other segment includes security services, satellite service, information technology and network services, as well as global business services, which provide global network services to multinational or domestic corporate customers and telecommunications companies. The Company's principal services include mobile voice and data telecommunications services; fixed-line services; credit card processing and other financial services; as well as other services.

Valuation Methodology

Our TP of KRW63,000 is based on a target P/E of 10x to 2027F EPS. Benchmark for the stock is KOSPI.

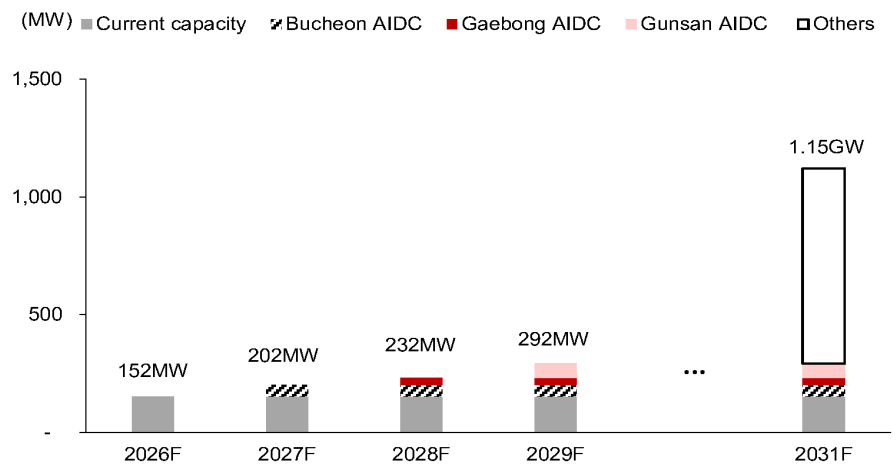
Risks that may impede the achievement of the target price

Key downside risk includes slow customer commitments and high funding requirements.

ESG

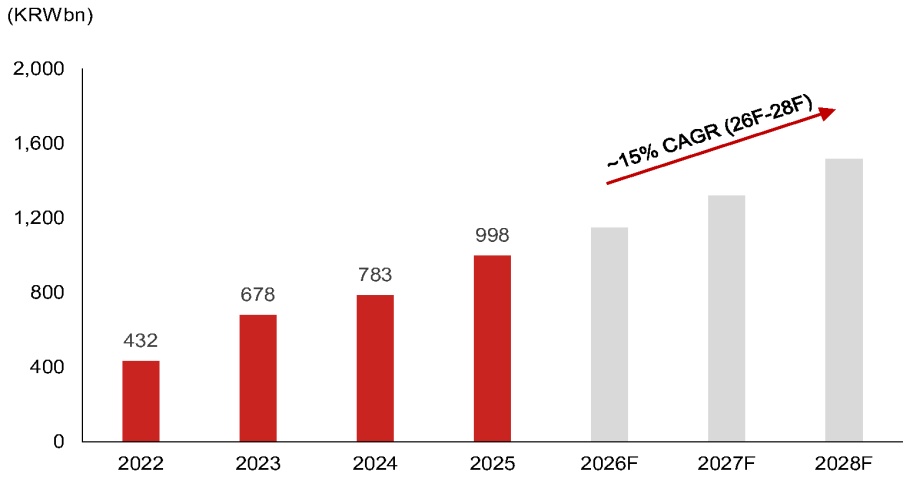
Starting in 2006, KT has published the annual ESG (Environmental, Social, and Governance) Report with the annual report and sustainability report combined into a single report, whose contents deal with the growth potential of KT corporate values and performance results in the areas of the environment, society, and governance KT ESG Report shall comply with comprehensive criteria of GRI (Global Reporting Initiative) G4 Guidelines, an international sustainable management report guideline, and includes the integrated reporting framework of International Integrated Reporting Council (IIRC) when it’s issued. KT will continue to create new values and actively implement sustainable management with our stakeholders.

Fig. 26: KT — AIDC capacity expansion schedule



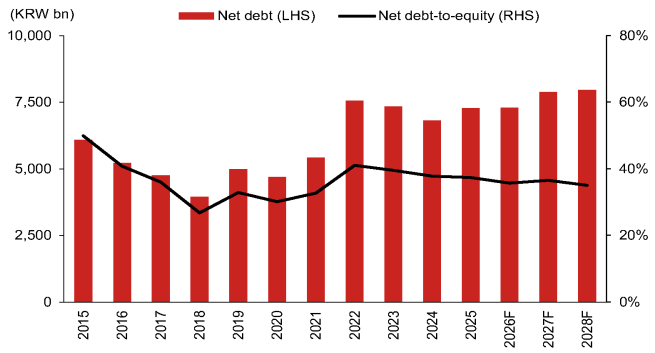
Note: * Gunsan AIDC may expand up to 300MW of capacity based on demand
Source: Company data, Nomura estimate

Fig. 27: KT Cloud (unlisted) revenue trend and company target



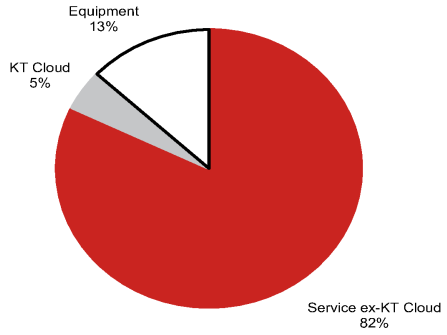
Source: Company data, Nomura estimates

Fig. 28: KT — net debt & net debt / equity



Source: Company data, Nomura estimates

Fig. 29: KT — revenue breakdown (2027F)



Source: Company data, Nomura estimates

NOMURA

Global Markets Research
14 October 2026

Naver Corporation 035420.KS 035420 KS

EQUITY: INTERNET & NEW MEDIA

Funding progresses; demand visibility is key

AI infrastructure upside awaits contracted demand and clearer returns

Action: Maintain Neutral with a revised SOTP-based TP of KRW200,000

We maintain our Neutral rating and trim SOTP-based TP to KRW200,000. We believe Naver's AI infrastructure expansion offers long-term growth potential, but we await clearer evidence of contracted demand and investment returns before factoring in the planned 1GW AI factory into our SOTP valuation. Our preference for Samsung SDS (018260 KS, Buy) reflects its captive demand anchor and substantial DBO (design, build, operate) exposure, rather than headline capacity targets. Naver's investments rely heavily on securing external customers at prices and contract durations sufficient to cover infrastructure commitments, while near-term earnings remain constrained by expansion costs. Key upside risk is large-scale customer contracts; downside risk is underutilization.

AI factory: Customer diversification broadens opportunity; utilization is key

Naver's initial expansion targets 200MW at Gak Sejong by 2028E, the first phase of its longer-term 1GW ambition, and therefore we raise 2028F revenue by 14%. Naver's own services provide an internal demand base, but management indicates domestic demand alone is insufficient for its ambitions. Management's customer acquisition strategy has broadened from a single hyperscaler toward multiple AI customers, potentially improving pricing flexibility and reducing customer concentration. However, discussions must translate into binding contracts with sufficient volume, duration and credit quality to support profitable utilization, in our view.

Funding: Partnership eases upfront investment; lease risks remain

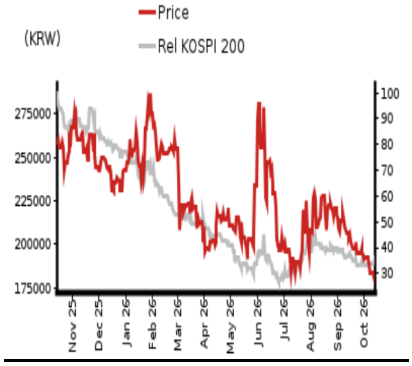
The proposed Brookfield (BN US, Not rated) financing framework would reduce Naver's upfront capital requirements through a project vehicle and long-term master lease, according to management. Financing is progressing, although final execution remains subject to funding arrangements. This structure improves the feasibility of the initial expansion, but does not by itself establish attractive shareholder returns: fixed lease payments could leave Naver exposed if customer demand, pricing or contract duration falls short of its commitments. Guarantees, lease accounting and the allocation of GPU replacement costs also require clarification. We view funding progress as positive, while retaining our Neutral stance pending greater visibility on customer contracts and the returns remaining after lease and operating costs.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	12,035	13,649	13,649	15,122	15,570	16,287	18,511
Reported net profit (bn)	1,961	1,789	1,745	2,042	1,953	2,252	2,235
Normalised net profit (bn)	1,961	1,789	1,745	2,042	1,953	2,252	2,235
FD normalised EPS	12,056	10,849	10,586	12,384	11,841	13,655	13,554
FD norm. EPS growth (%)	5.3	-10.0	-12.2	14.2	11.9	10.3	14.5
FD normalised P/E (x)	15.0	–	17.1	–	15.2	–	13.3
EV/EBITDA (x)	7.4	–	8.3	–	7.1	–	8.0
Price/book (x)	1.0	–	1.0	–	0.9	–	0.9
Dividend yield (%)	0.6	–	0.3	–	0.3	–	0.4
ROE (%)	7.4	6.3	6.1	6.7	6.5	7.0	7.0
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	**Neutral**
Target price Reduced from KRW 210,000	**KRW 200,000**
Closing price 12 October 2026	**KRW 180,500**
Implied upside	**+10.8%**
Market Cap (USD mn)	21,249.5
ADT (USD mn)	136.8

Relative performance chart



Source: LSEG, Nomura

Research Analysts

South Korea Internet & New Media

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Key data on Naver Corporation

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-12.6	-5.6	-32.5	M cap (USDmn)	21,249.5
Absolute (USD)	-12.0	6.1	-27.7	Free float (%)	72.0
Rel to KOSPI 200	-4.8	10.4	-130.7	3-mth ADT (USDmn)	136.8

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	10,738	12,035	13,649	15,570	18,511
Cost of goods sold					
Gross profit	10,738	12,035	13,649	15,570	18,511
SG&A	-8,758	-9,827	-11,629	-13,237	-15,873
Employee share expense					
Operating profit	1,979	2,208	2,019	2,334	2,638
EBITDA	2,516	2,810	2,702	3,112	2,638
Depreciation	-537	-602	-682	-779	0
Amortisation					
EBIT	1,979	2,208	2,019	2,334	2,638
Net interest expense	54	245	420	330	313
Associates & JCEs	145	495	302	314	370
Other income	144	-528	-512	-488	-458
Earnings before tax	2,322	2,420	2,230	2,490	2,863
Income tax	-390	-593	-516	-639	-709
Net profit after tax	1,932	1,827	1,714	1,851	2,154
Minority interests	-9	134	31	102	81
Other items					
Preferred dividends					
Normalised NPAT	1,923	1,961	1,745	1,953	2,235
Extraordinary items					
Reported NPAT	1,923	1,961	1,745	1,953	2,235
Dividends	-119	-168	-86	-93	-108
Transfer to reserves	1,804	1,793	1,659	1,860	2,128
Valuations and ratios					
Reported P/E (x)	14.9	14.3	16.3	14.6	12.7
Normalised P/E (x)	14.9	14.3	16.3	14.6	12.7
FD normalised P/E (x)	15.8	15.0	17.1	15.2	13.3
Dividend yield (%)	0.4	0.6	0.3	0.3	0.4
Price/cashflow (x)	11.7	9.5	12.0	9.6	11.3
Price/book (x)	1.1	1.0	1.0	0.9	0.9
EV/EBITDA (x)	9.8	7.4	8.3	7.1	8.0
EV/EBIT (x)	12.3	9.0	10.7	9.1	8.0
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
EBITDA margin (%)	23.4	23.3	19.8	20.0	14.3
EBIT margin (%)	18.4	18.3	14.8	15.0	14.3
Net margin (%)	17.9	16.3	12.8	12.5	12.1
Effective tax rate (%)	16.8	24.5	23.1	25.7	24.8
Dividend payout (%)	6.2	8.6	4.9	4.7	4.8
ROE (%)	7.9	7.4	6.1	6.5	7.0
ROA (pretax %)	6.8	8.5	6.8	7.3	7.5
Growth (%)					
Revenue	11.0	12.1	13.4	14.1	18.9
EBITDA	35.1	11.7	-3.8	15.2	-15.2
Normalised EPS	80.3	4.0	-12.3	11.8	14.5
Normalised FDEPS	83.4	5.3	-12.2	11.9	14.5

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,516	2,810	2,702	3,112	2,638
Change in working capital	266	457	31	914	1,696
Other operating cashflow	-192	-172	-253	-914	-1,696
Cashflow from operations	2,590	3,096	2,479	3,112	2,638
Capital expenditure					
Free cashflow	2,590	3,096	2,479	3,112	2,638
Reduction in investments	468	545	-328	-308	-319
Net acquisitions					
Dec in other LT assets	114	-1,658	-334	-902	-1,744
Inc in other LT liabilities	-341	652	-138	340	237
Adjustments	-1,581	-282	-911	-1,194	-584
CF after investing acts	1,250	2,352	769	1,048	228
Cash dividends	-119	-168	-86	-93	-108
Equity issue					
Debt issue	-219	-220	-439	-279	-290
Convertible debt issue					
Others	1,759	-698	-367	1,241	2,035
CF from financial acts	1,421	-1,086	-892	870	1,637
Net cashflow	2,671	1,266	-123	1,918	1,865
Beginning cash	4,385	7,055	8,321	8,198	10,116
Ending cash	7,055	8,321	8,198	10,116	11,981
Ending net debt	-3,850	-5,335	-4,840	-5,545	-5,551

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	7,055	8,321	8,198	10,116	11,981
Marketable securities	413	625	620	589	562
Accounts receivable	1,655	1,690	2,010	2,240	2,694
Inventories					
Other current assets	252	293	272	282	277
Total current assets	9,375	10,928	11,100	13,227	15,514
LT investments	17,406	16,649	16,982	17,322	17,668
Fixed assets	2,910	3,608	4,151	4,961	5,819
Goodwill					
Other intangible assets	3,657	3,421	4,264	4,645	5,653
Other LT assets	4,820	6,479	6,812	7,714	9,458
Total assets	38,168	41,084	43,310	47,869	54,112
Short-term debt	335	1,729	2,594	3,891	5,836
Accounts payable	1,559	1,540	1,864	2,060	2,488
Other current liabilities	4,198	4,749	4,756	5,714	7,431
Total current liabilities	6,092	8,019	9,214	11,665	15,756
Long-term debt	2,870	1,256	764	680	594
Convertible debt					
Other LT liabilities	2,204	2,856	2,719	3,059	3,295
Total liabilities	11,167	12,131	12,697	15,404	19,645
Minority interest	1,541	1,370	1,314	1,409	1,364
Preferred stock					
Common stock	1,439	1,603	1,603	1,603	1,603
Retained earnings	25,965	27,631	29,259	31,017	33,063
Proposed dividends					
Other equity and reserves	-1,944	-1,650	-1,563	-1,563	-1,563
Total shareholders' equity	25,460	27,583	29,299	31,057	33,103
Total equity & liabilities	38,168	41,085	43,310	47,869	54,112
Liquidity (x)					
Current ratio	1.54	1.36	1.20	1.13	0.98
Interest cover	–	–	–	–	–
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (KRW)	12,139	12,620	11,065	12,376	14,167
Norm EPS (KRW)	12,139	12,620	11,065	12,376	14,167
FD norm EPS (KRW)	11,452	12,056	10,586	11,841	13,554
BVPS (KRW)	163,815	174,960	185,686	196,828	209,797
DPS (KRW)	751	1,126	572	618	719
Activity (days)					
Days receivable	57.4	50.7	49.5	49.8	48.8
Days inventory	–	–	–	–	
Days payable	–	–	–	–	
Cash cycle	57.4	–	–	–	–

Source: Company data, Nomura estimates

Company profile

NAVER Corp. is a global ICT company, providing South Korea’s leading search portal "NAVER" and its subsidiaries and affiliates provide services, including LINE messenger, SNOW camera app, digital comics platform NAVER WEBTOON, group social media platform, NAVER BAND, and metaverse platform ZEPETO. The sustained research and development of AI, robotics, mobility, and other future technology trends are propelling NAVER forward, in pursuit of the transformation and innovation of technology platforms, while it also remains devoted to a paradigm of shared growth, joining hands with users from the global community as well as a vast number of partnerships. In 2018, NAVER was ranked as the 9th most innovative company by Forbes and top 6th Future 50 company by Fortune magazine.

Valuation Methodology

Our target price of KRW200,000 is based on SOTP valuation. The benchmark index for this stock is KOSPI.

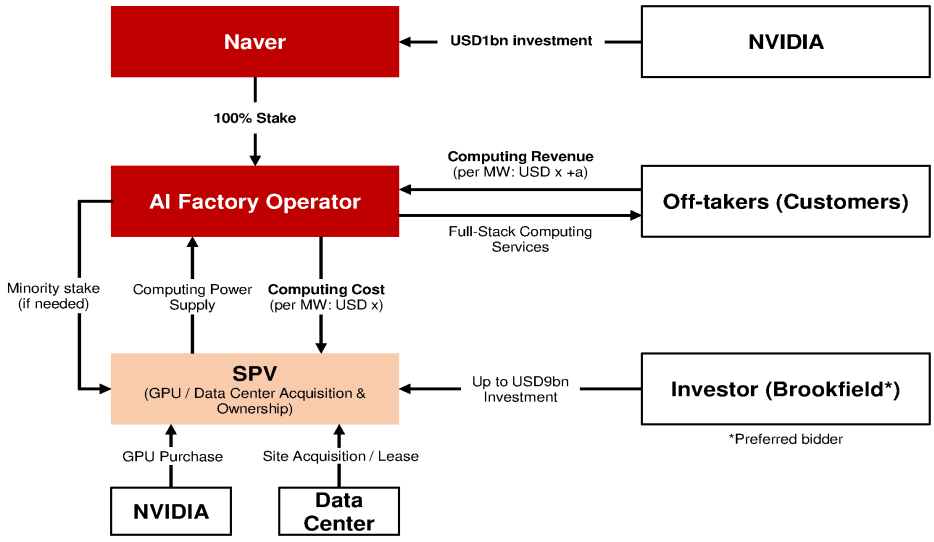
Risks that may impede the achievement of the target price

Key upside risks include large-scale customer contracts and downside risk includes underutilization.

ESG

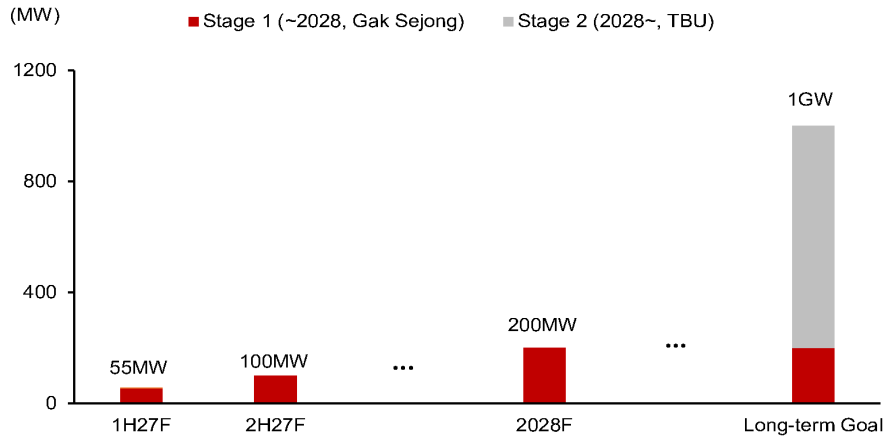
Naver established an ESG committee under the Board of Directors in October 2020. Also to put together efforts in accelerating the transition to a low-carbon economy, Naver pledged in May 2020 that it would attain ‘carbon negative’ status by 2040. In March 2021, Naver became the first domestic tech/internet company to have issued foreign currency ESG bonds (Sustainability Bonds).

Fig. 30: Naver's AI Factory business structure for the first 200MW phase



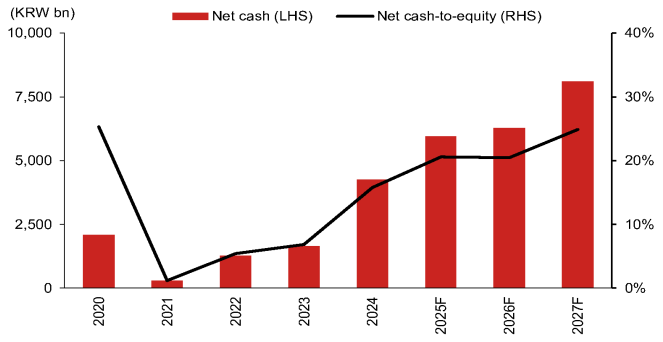
Source: Company data, Nomura research

Fig. 31: Naver — AIDC capacity expansion schedule



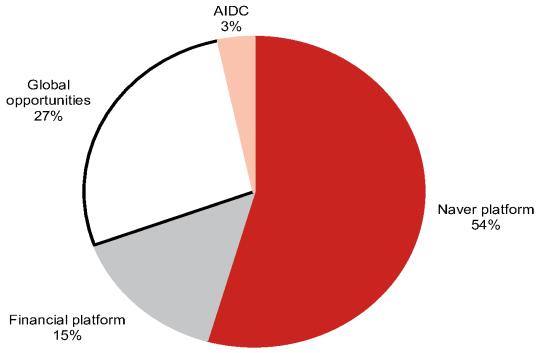
Source: Company data, Nomura estimates

Fig. 32: Naver — net cash & net cash / equity



Source: Company data, Nomura estimates

Fig. 33: Naver — 2027F revenue breakdown



Source: Company data, Nomura estimates

Fig. 34: Naver – SOTP valuation table

	New	Old
Target price (KRW)	**200,000**	**210,000**
Implied P/E (2027F)	17x	17x
Total shares outstanding (mn)	156.9	156.9
Naver SOTP (KRW bn)	**32,452**	**33,507**
(1) Ads	**9,456**	**10,406**
2027F revenue	6,304	6,121
Sustainable net margin(%)	15%	17%
Target P/E	10x	10x
(2) Commerce	**11,940**	**12,255**
Total commerce GMV (2027F)	59,698	61,273
Target GMV multiple	0.2x	0.2x
(3) Naver Financial - Payment	**3,115**	**2,985**
Holdco discount	50%	50.0%
Naver's % stake in Naver Financial	89.2%	89.2%
2027F NP	175	167
Target P/E	40x	40x
(4) Webtoon Entertainment	**576**	**704**
Holdco discount	50%	50%
Naver's % stake in Webtoon Entertainment	61.5%	61.5%
Webtoon Entertainment market cap	1,873	2,289
(5) Naver Cloud	**2,769**	**2,788**
Naver's % stake in Naver Cloud	100%	100%
2027F implied PSR	3.5	3.9
2027F NP	277	279
Applied P/E	10x	10x
(6) Market value of LY Corp stake held by Naver, discounted at 50%	**4,597**	**4,369**
Holdco discount	50%	50.0%
Naver's % stake in LY Corp	31.1%	31.1%
LY Corp market cap	29,603	28,137

Source: Company data, Nomura estimates

NOMURA

Global Markets Research

14 October 2026

SK Telecom 017670.KS 017670 KS

EQUITY: TELECOMS

Funding boosts AIDC prospects; returns key

Group capabilities support scale; contracted demand determines value

Action: Maintain Neutral with a revised TP of KRW87,000

We maintain our Neutral rating and trim our SOTP-based TP to KRW87,000 (*Fig. 38*). SKT's central role in SK Group's AI infrastructure strategy and progress in securing external capital strengthen its AIDC growth prospects, in our view, but we await clearer visibility on contracted demand, capital commitments and attributable earnings before assigning substantial value to its longer-term expansion ambition. Unlike Samsung SDS (018260 KS, Buy) that has captive workloads to anchor demand, SKT's larger pipeline requires significant external customers. While SK Group's capabilities can support execution, we highlight benefits from the broader AI memory ecosystem do not automatically translate into attractive returns for SKT shareholders. A key upside risk is large-scale customer contracts while downside risks are underutilisation and higher funding requirements.

SK Group's capabilities support AI infra expansion; demand visibility is key

SKT targets up to 15GW of AIDC capacity by 2035E, with 5GW targeted for phased opening from 2029E. The strategy combines SKT's infrastructure capabilities with the group's memory and energy expertise, potentially strengthening technology partnerships and project execution, in our view. The proposed SK Horizon (unlisted) platform targets 318MW across existing projects under construction, while SK Hyper (unlisted) develops the GW-scale pipeline. We assess this nearer-term platform separately from the broader ambition, with subsequent expansion dependent on power availability, customer commitments and funding. Our focus remains on commercially supported projects and earnings attributable to SKT rather than headline capacity.

Funding: External equity supports growth; capital discipline remains key

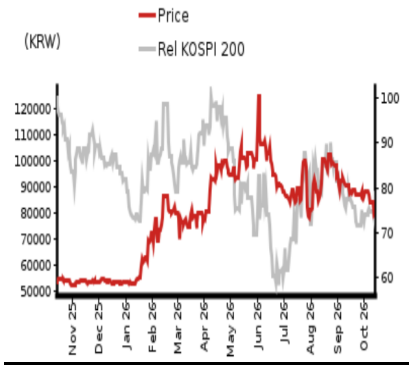
SKT has secured KRW3.08tn of equity investment from KKR (KKR US, Not rated) and the IMM (unlisted) consortium into the proposed SK Horizon (unlisted), with SKT retaining a 51% stake after all investment phases. This provides capital for expansion and external validation of the platform, while sharing future earnings with minority investors. However, the transaction does not fund the full 15GW ambition. We therefore focus on SKT's incremental equity contributions, project debt, guarantees and cash distributions from its investments. We view the funding progress positively, but retain our Neutral rating pending clearer evidence that AIDC returns can support shareholder value while preserving dividends and core-business investments.

Year-end 31 Dec	FY25		FY26F		FY27F		FY28F
Currency (KRW)	Actual	Old	New	Old	New	Old	New
Revenue (bn)	17,099	17,733	17,808	18,266	19,053	18,754	20,107
Reported net profit (bn)	408	1,252	1,253	1,282	1,341	1,388	1,498
Normalised net profit (bn)	408	1,252	1,253	1,282	1,341	1,388	1,498
FD normalised EPS	1,901	5,827	5,834	5,967	6,245	6,461	6,976
FD norm. EPS growth (%)	-68.6	206.5	206.8	2.4	7.0	8.3	11.7
FD normalised P/E (x)	41.9	–	13.7	–	12.8	–	11.4
EV/EBITDA (x)	5.2	–	4.5	–	4.5	–	4.4
Price/book (x)	1.3	–	1.2	–	1.2	–	1.1
Dividend yield (%)	2.1	–	4.4	–	4.5	–	4.6
ROE (%)	3.3	9.3	9.4	9.1	9.5	9.5	10.2
Net debt/equity (%)	53.5	56.2	56.2	55.8	55.3	56.3	55.5

Source: Company data, Nomura estimates

Rating Remains	**Neutral**
Target price Reduced from KRW 89,000	**KRW 87,000**
Closing price 12 October 2026	**KRW 79,700**
Implied upside	**+9.2%**
Market Cap (USD mn)	12,841.0
ADT (USD mn)	81.7

Relative performance chart



Source: LSEG, Nomura

Research Analysts

South Korea Telecoms

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Key data on SK Telecom

Performance

(%)	1M	3M	12M		
Absolute (KRW)	-12.3	-10.1	46.0	M cap (USDmn)	12,841.0
Absolute (USD)	-11.8	1.0	56.5	Free float (%)	55.0
Rel to KOSPI 200	-4.5	5.9	-52.3	3-mth ADT (USDmn)	81.7

Income statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	17,941	17,099	17,808	19,053	20,107
Cost of goods sold					
Gross profit	17,941	17,099	17,808	19,053	20,107
SG&A	-16,117	-16,026	-15,916	-17,074	-17,913
Employee share expense					
Operating profit	1,823	1,073	1,892	1,979	2,194
EBITDA	5,518	4,663	5,534	5,595	5,824
Depreciation	-3,695	-3,590	-3,642	-3,616	-3,629
Amortisation					
EBIT	1,823	1,073	1,892	1,979	2,194
Net interest expense	-251	-263	-257	-260	-258
Associates & JCEs	322	-64	0	0	0
Other income	-81	-25	-53	-42	-50
Earnings before tax	1,814	722	1,582	1,677	1,886
Income tax	-375	-347	-356	-367	-419
Net profit after tax	1,439	375	1,226	1,310	1,467
Minority interests	-137	33	27	31	31
Other items					
Preferred dividends					
Normalised NPAT	1,302	408	1,253	1,341	1,498
Extraordinary items					
Reported NPAT	1,302	408	1,253	1,341	1,498
Dividends	-804	-628	-354	-754	-765
Transfer to reserves	498	-220	900	587	734
Valuations and ratios					
Reported P/E (x)	13.0	41.6	13.5	12.7	11.3
Normalised P/E (x)	13.0	41.6	13.5	12.7	11.3
FD normalised P/E (x)	13.1	41.9	13.7	12.8	11.4
Dividend yield (%)	4.4	2.1	4.4	4.5	4.6
Price/cashflow (x)	3.4	4.4	2.9	3.4	3.0
Price/book (x)	1.4	1.3	1.2	1.2	1.1
EV/EBITDA (x)	4.1	5.2	4.5	4.5	4.4
EV/EBIT (x)	11.1	23.8	13.2	12.7	11.6
Gross margin (%)	100.0	100.0	100.0	100.0	100.0
EBITDA margin (%)	30.8	27.3	31.1	29.4	29.0
EBIT margin (%)	10.2	6.3	10.6	10.4	10.9
Net margin (%)	7.3	2.4	7.0	7.0	7.5
Effective tax rate (%)	20.7	48.1	22.5	21.9	22.2
Dividend payout (%)	61.8	153.9	28.2	56.2	51.0
ROE (%)	10.8	3.3	9.4	9.5	10.2
ROA (pretax %)	7.5	3.5	6.4	6.3	6.7
Growth (%)					
Revenue	1.9	-4.7	4.1	7.0	5.5
EBITDA	0.3	-15.5	18.7	1.1	4.1
Normalised EPS	18.9	-68.6	206.8	7.0	11.7
Normalised FDEPS	21.3	-68.6	206.8	7.0	11.7

Source: Company data, Nomura estimates

Cashflow statement (KRWbn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	5,518	4,663	5,534	5,595	5,824
Change in working capital	1,070	-1,141	-119	20	17
Other operating cashflow	-1,501	402	559	-599	-163
Cashflow from operations	5,087	3,924	5,974	5,017	5,678
Capital expenditure	-2,487	-2,207	-2,671	-3,811	-3,619
Free cashflow	2,600	1,717	3,303	1,206	2,058
Reduction in investments	-625	-1,207	0	0	0
Net acquisitions					
Dec in other LT assets	65	-334	-1,157	11	-520
Inc in other LT liabilities	-691	229	125	223	214
Adjustments	1,026	1,782	-1,546	670	-4
CF after investing acts	2,375	2,187	725	2,109	1,749
Cash dividends	-804	-628	-354	-754	-765
Equity issue					
Debt issue	196	-377	1,230	52	659
Convertible debt issue					
Others	-1,198	-1,715	-1,312	-1,405	-1,480
CF from financial acts	-1,807	-2,720	-435	-2,107	-1,586
Net cashflow	569	-534	290	2	163
Beginning cash	1,455	2,024	1,490	1,780	1,783
Ending cash	2,024	1,490	1,780	1,783	1,946
Ending net debt	6,800	6,927	7,770	7,952	8,377

Balance sheet (KRWbn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	2,024	1,490	1,780	1,783	1,946
Marketable securities					
Accounts receivable	1,989	1,919	1,998	2,138	2,256
Inventories	210	168	168	168	168
Other current assets	3,254	3,151	3,279	3,503	3,693
Total current assets	7,477	6,727	7,225	7,591	8,062
LT investments	4,220	5,427	5,427	5,427	5,427
Fixed assets	12,617	11,902	12,395	13,262	13,996
Goodwill	2,072	2,072	2,158	2,309	2,437
Other intangible assets	122	-362	-377	-403	-426
Other LT assets	4,007	4,341	5,498	5,487	6,007
Total assets	30,515	30,108	32,326	33,674	35,504
Short-term debt	2,460	1,123	1,908	1,676	1,932
Accounts payable	2,925	1,688	1,758	1,881	1,985
Other current liabilities	3,839	3,719	3,738	4,000	4,221
Total current liabilities	9,224	6,530	7,404	7,556	8,138
Long-term debt	6,364	7,294	7,642	8,058	8,390
Convertible debt					
Other LT liabilities	3,100	3,328	3,453	3,675	3,890
Total liabilities	18,688	17,152	18,499	19,290	20,418
Minority interest					
Preferred stock					
Common stock	30	30	30	30	30
Retained earnings	22,976	22,938	23,810	24,367	25,069
Proposed dividends					
Other equity and reserves	-11,179	-10,013	-10,013	-10,013	-10,013
Total shareholders' equity	11,828	12,955	13,827	14,384	15,086
Total equity & liabilities	30,515	30,108	32,326	33,674	35,504
Liquidity (x)					
Current ratio	0.81	1.03	0.98	1.00	0.99
Interest cover	7.3	4.1	7.4	7.6	8.5
Leverage					
Net debt/EBITDA (x)	1.23	1.49	1.40	1.42	1.44
Net debt/equity (%)	57.5	53.5	56.2	55.3	55.5
Per share					
Reported EPS (KRW)	6,115	1,918	5,884	6,298	7,035
Norm EPS (KRW)	6,115	1,918	5,884	6,298	7,035
FD norm EPS (KRW)	6,061	1,901	5,834	6,245	6,976
BVPS (KRW)	55,558	60,828	64,923	67,534	70,832
DPS (KRW)	3,540	1,660	3,540	3,590	3,640
Activity (days)					
Days receivable	40.4	41.7	40.1	39.6	40.0
Days inventory	–	–	–	–	
Days payable	–	–	–	–	
Cash cycle	40.4	–	–	–	–

Source: Company data, Nomura estimates

Company profile

SK Telecom is the largest mobile operator in Korea with nearly 50 percent of the market share. As the domestic pioneer of all generations of mobile networks, the company has commercialized the fifth generation (5G) network on December 1, 2018 and announced the first 5G smartphone subscribers on April 3, 2019. With its world's best 5G, SK Telecom is set to realize the Age of Hyper-Innovation by transforming the way customers work, live and play. Building on its strength in mobile services, the company is also creating unprecedented value in diverse ICT-related markets including media, security and commerce.

Valuation Methodology

Our TP of KRW87,000 is based on SOTP valuation. The benchmark index for the stock is KOSPI.

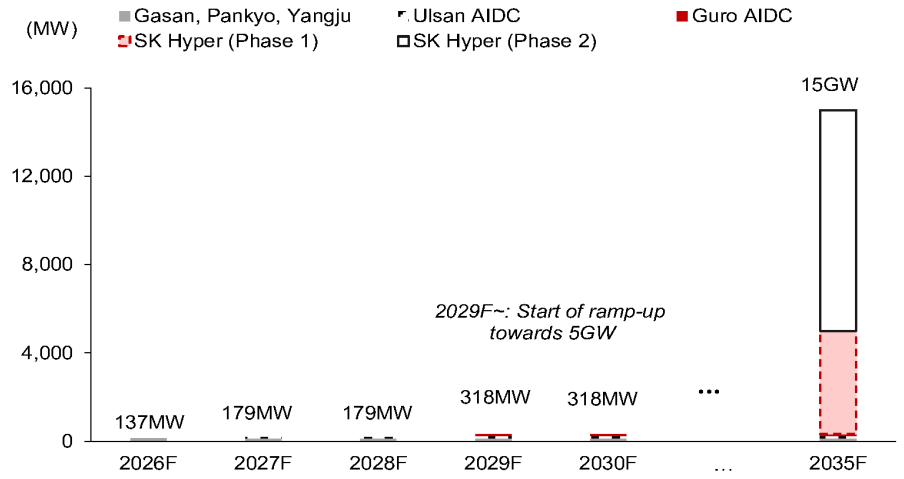
Risks that may impede the achievement of the target price

Key upside risk is large-scale customer contracts; downside risks are underutilization and higher funding requirements.

ESG

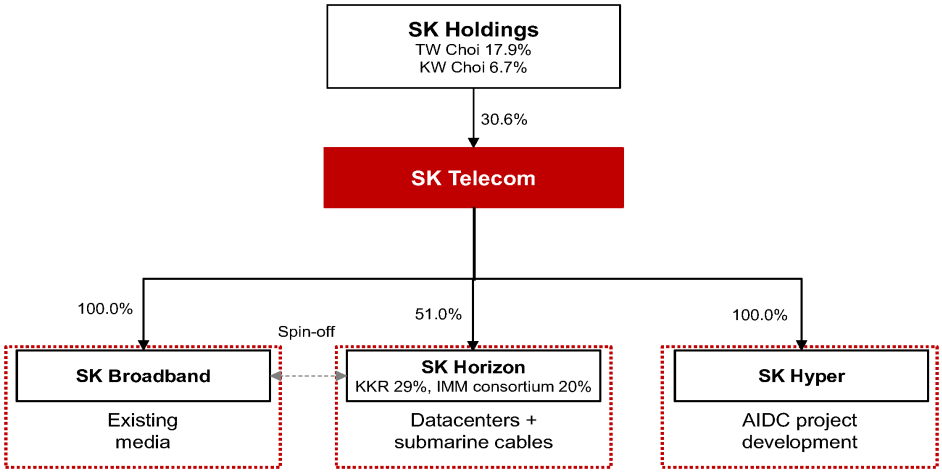
Strategic Promotion of ESG Management- SK Telecom contributes to economic development based on the revised SKMS and promotes the integrated growth along with society through creation of social values, and SK Telecom promotes the Double Bottom Line to create both financial values and social values simultaneously under the system of ESG management. Centered on the ESG committee under the board of directors, SK Telecom would like to contribute not only to financial performance but also to promotion of happiness for interested parties and reconsideration of corporate values through promotion of the Double Bottom Line to create the Biz-competence-based social values SK, in terms of long-term perspective.

Fig. 35: SK Telecom — AIDC capacity expansion schedule



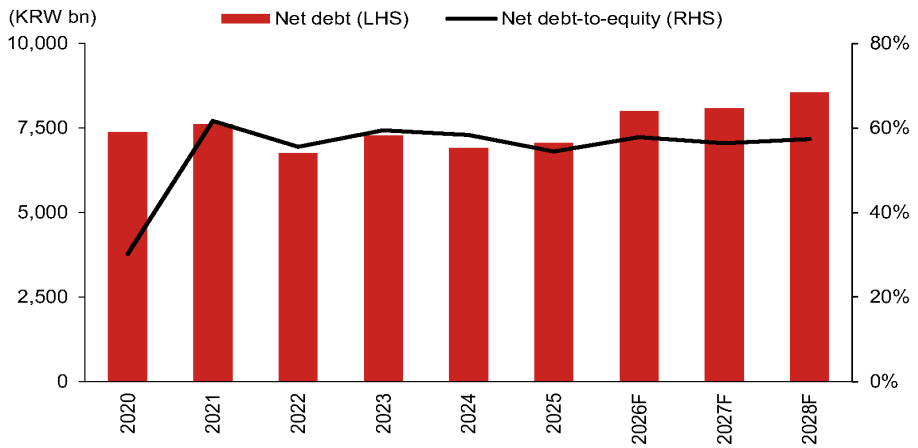
Source: Company data, Nomura estimates

Fig. 36: SK Telecom — shareholding structure across AIDC business



Note: Planned as of Oct 8, 2026; SK Hyper established in July 2026, SK Horizon split expected on 1 Feb 2027
Source: Company data, Nomura research

Fig. 37: SK Telecom — net debt and net debt / equity



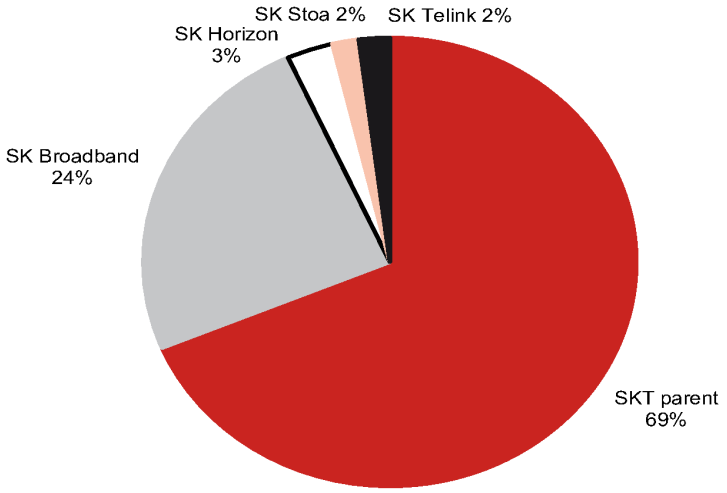
Source: Company data, Nomura estimates

Fig. 38: SKT — SOTP valuation

Fair value per share (KRW)	87,000	89,000
Fair value (KRW bn)	**18,613**	**19,146**
(1) Core telco business	14,754	13,933
Target P/E	11.0	11.0
NP (2027F)	1,341	1,267
(2) SKT's stake in Anthropic	3,859	5,213
Stake (%)	0.3%	0.3%
Anthropic valuation (KRWbn)	1,286,345	1,737,600
(USDbn)	965	1,200

Source: Company data, Nomura estimates

Fig. 39: SK Telecom — revenue breakdown (2027F)



Source: Company data, Nomura estimates

Appendix A-1

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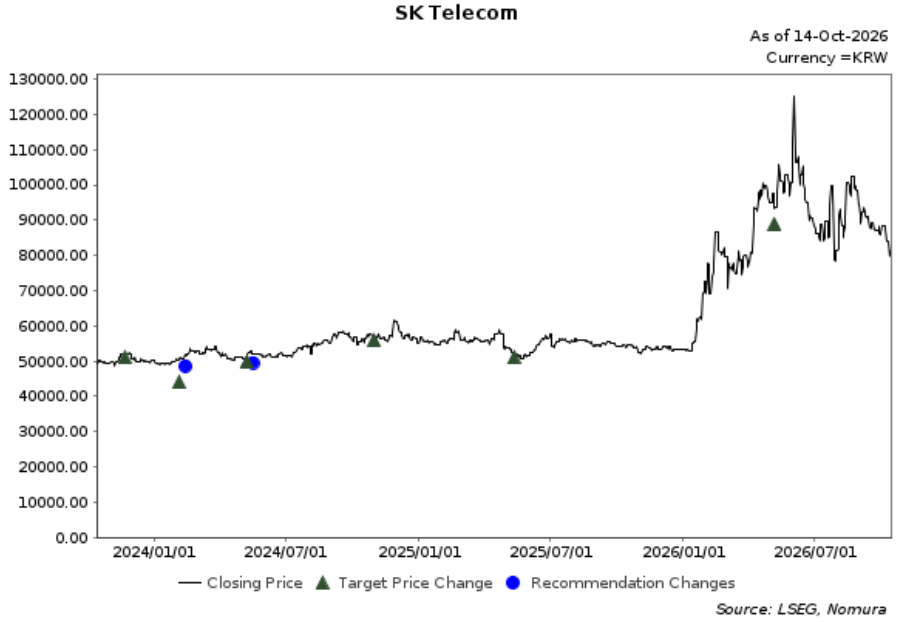
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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
SK Telecom	017670 KS	KRW 79700	12-Oct-2026	Neutral	N/A	
Samsung SDS	018260 KS	KRW 195400	12-Oct-2026	Buy	N/A	
KT Corp	030200 KS	KRW 49900	12-Oct-2026	Buy	N/A	
Naver Corporation	035420 KS	KRW 180500	12-Oct-2026	Neutral	N/A	

SK Telecom (017670 KS) **KRW 79700 (12-Oct-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



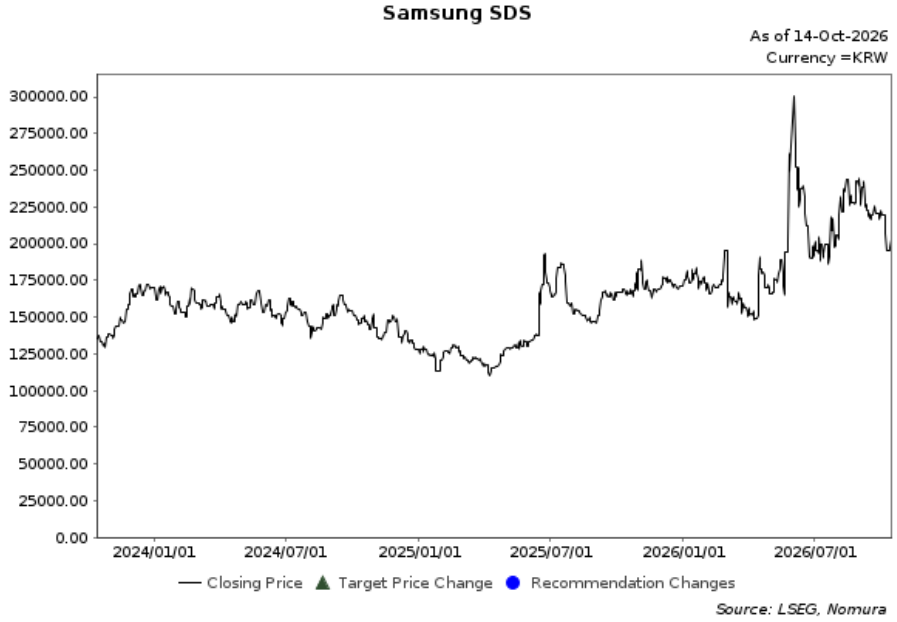
Date	Rating	Target price	Closing price
07-May-26		89,000.00	93,200.00
12-May-25		51,000.00	52,200.00
31-Oct-24		56,000.00	56,700.00
08-May-24	Neutral		51,300.00
08-May-24		50,000.00	51,300.00
05-Feb-24	Reduce		50,400.00
05-Feb-24		44,000.00	50,400.00
22-Nov-23		51,000.00	52,000.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW87,000 is based on SOTP valuation. The benchmark index for the stock is KOSPI.
Risks that may impede the achievement of the target price Key upside risk is large-scale customer contracts; downside risks are underutilization and higher funding requirements.

Samsung SDS (018260 KS) **KRW 195400 (12-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



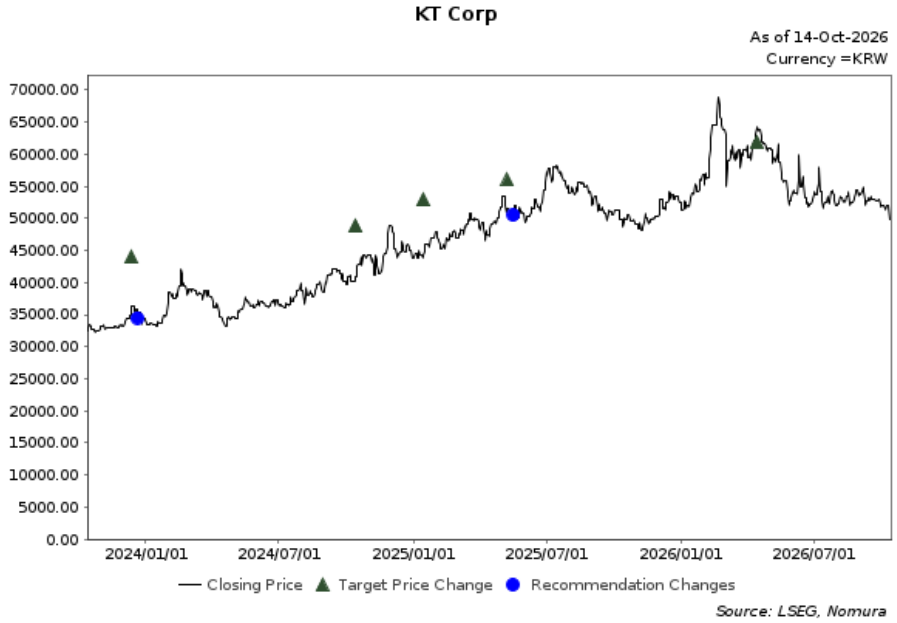
Date	Rating	Target price	Closing price

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW 250,000 is based on a target P/E of 23x 2027F EPS.
Risks that may impede the achievement of the target price Key downside risks include slower demand and utilization ramp-up, GPU pricing pressure and obsolescence, and lower returns on infrastructure investment.

KT Corp (030200 KS) **KRW 49900 (12-Oct-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



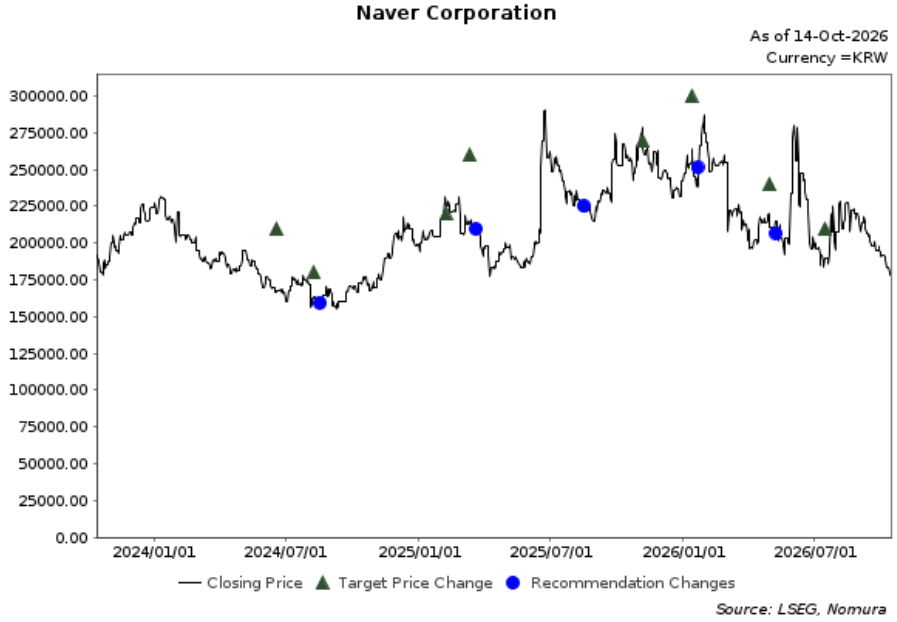
Date	Rating	Target price	Closing price
14-Apr-26		62,000.00	64,200.00
09-May-25	Neutral		51,500.00
09-May-25		56,000.00	51,500.00
14-Jan-25		53,000.00	43,900.00
14-Oct-24		49,000.00	40,900.00
13-Dec-23	Buy		35,450.00
13-Dec-23		44,000.00	35,450.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of KRW63,000 is based on a target P/E of 10x to 2027F EPS. Benchmark for the stock is KOSPI.
Risks that may impede the achievement of the target price Key downside risk includes slow customer commitments and high funding requirements.

Naver Corporation (035420 KS) **KRW 180500 (12-Oct-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
15-Jul-26		210,000.00	189,600.00
30-Apr-26	Neutral		211,000.00
30-Apr-26		240,000.00	211,000.00
12-Jan-26	Buy		255,500.00
12-Jan-26		300,000.00	255,500.00
05-Nov-25		270,000.00	278,500.00
08-Aug-25	Neutral		229,500.00
12-Mar-25	Buy		214,000.00
12-Mar-25		260,000.00	214,000.00
07-Feb-25		220,000.00	225,500.00
09-Aug-24	Neutral		163,700.00
09-Aug-24		180,000.00	163,700.00
18-Jun-24		210,000.00	166,800.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of KRW200,000 is based on SOTP valuation. The benchmark index for this stock is KOSPI.
Risks that may impede the achievement of the target price Key upside risks include large-scale customer contracts and downside risk includes underutilization.

Rating and target price changes

Issuer	Ticker	Old Stock Rating	New Stock Rating	Old Target Price	New Target Price
SK Telecom	017670 KS	Neutral	Neutral	KRW 89000	KRW 87000
Samsung SDS	018260 KS	Not Rated	Buy	N/A	KRW 250000
KT Corp	030200 KS	Neutral	Buy	KRW 62000	KRW 63000
Naver Corporation	035420 KS	Neutral	Neutral	KRW 210000	KRW 200000

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As at 30 September 2026.
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STOCKS

A rating of **'Buy'**, indicates that the analyst expects the stock to outperform the Benchmark over the next 12 months. A rating of **'Neutral'**, indicates that the analyst expects the stock to perform in line with the Benchmark over the next 12 months. A rating of **'Reduce'**, indicates that the analyst expects the stock to underperform the Benchmark over the next 12 months. A rating of **'Suspended'**, indicates that the rating, target price and estimates have been suspended temporarily to comply with applicable regulations and/or firm policies. Securities and/or companies that are labelled as **'Not rated'** or shown as **'No rating'** are not in regular research coverage. Investors should not expect continuing or additional information from Nomura relating to such securities and/or companies. Benchmarks are as follows: **United States/Europe/Asia ex-Japan:** please see valuation methodologies for explanations of relevant benchmarks for stocks, which can be accessed at: http://go.nomuranow.com/research/m/Disclosures; **Global Emerging Markets (ex-Asia):** MSCI Emerging Markets ex-Asia, unless otherwise stated in the valuation methodology; **Japan:** Russell/Nomura Large Cap.

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Target Price

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